IIFL Securities (IIFLCAPS)

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Call: Aug 2022

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August 4, 2022
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Fax No.: 26598237/ 26598238
NSE Symbol: IIFLSEC

Dear Sir/Madam,
Sub: - Earnings conference call transcript
Please find attached herewith transcript of the earnings call held on Friday , July 29 , 2022. The same is also made available on the website of the Company i.e.
https://content.indiainfoline.com/wb/securities/reports/IIFL%20Securities%20Ltd%20Q1FY23%20Earnings%20Call%20Transcript.pdf?_ga=2.265581517.35938730.1659599025- 2017514718.1654148603
Kindly take the same on record and oblige .

Thanking You,
Yours fait hfully,
For IIFL Securities Limited

Meghal Shah
Company Secretary

“IIFL Securities Limited Q1 FY23 Earnings Conference Call”

July 29, 20 22

MANAGEMENT : MR. R. VENKATARAMAN –MANAGING DIRECTOR
MR. RONAK GANDHI – CFO
MR. ANUP VARGHESE – INVESTOR RELATION

Moderator : Ladies and Gentlemen , Good day and welcome to IIFL Securities Limited Q1 FY23 Earnings Conference Call . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assistance during the conference call, please signal an operator by pressing '*' and then ' 0' on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to the management. Thank you and over to you , Sir.

R Venakataraman : Thank you and Good Afternoon friends. Thank you for joining the Q1 FY23 Analyst Call for IIFL Securities. I hope all your near and dear ones continue to remain safe and healthy. I am accompanied by Ronak Gandhi who is the CFO and Anup Varghese who looks after investor relationships. We are passing through interesti ng times, heightened geopolitical tensions across Russia -Ukraine conflict has created uncertainties. It has also sent all the commodity prices especially crude to record high levels . In the recent past, we have seen some softening of the commodity prices, but still crude remains at elevated levels.

Thanks to this annual inflation rates has reached 7.8% in April 22 higher since May 2014 consequently not only Indian markets, but global markets have remained choppy and volatile and are likely to remai n volatile throughout the year. Central Bank s across the globe and not only in India are taking steps by increasing interest rates to handle the inflation.

Coming to our results for the June quarter :

Revenue for the quarter was Rs. 295 crores up 10% on year -on-year basis and down 19% on a quarter -on-quarter basis. If you look at the year -on-year basis then brokerage income has increased 12% it was about Rs.145 cr ores for this quarter versus Rs.129 crores for the last year same quarte r. Investment banking has increased 28% to Rs. 29 crores in this quarter versus Rs. 23 crores . in Q1 FY22. The distribution income has decreased by 17% on year -on-year basis which was about Rs 40 crores in this quarter versus Rs 49 crores for the Q1 FY22 and the reason for decrease i n steady income is because last year we had a public issue of NCDs where we garnered good subscription.

Now coming t o quarter -on-quarter numbers :

Our brokerage income has decreased 20% on a quarter -on-quarter basis. Previous last quarter the Q4 FY22 we had a brokerage income of Rs.156 crores. Investment banking has fallen sharply by almost 55% and because if you remember Q1 of calendar 22 was quite politic and nil banking and we had almost Rs. 66 crores of investment banking income and that was fallen close to about Rs.30 crores in this quarter. Again, distribution income has decreased 28% on a quarter -on-quarter basis to Rs.40 crores which was Rs. 56 crores for this fourth quarter Q4 FY22 and that is primarily because the JFM quarter has remained always good for distribut ion product especially insurance .

Now coming to other income for this quarter :

On Rs.3.2 crores which is down both on year -on-year basis and quarter -on-quarter basis and the key drivers for the decrease in other income is because of the mark -to-market loss on share on the BSE. Coming to expenses I think our expenses have risen faster than our income and that is the reason why we are seeing margins shrinking and decline in profits. The key drivers of this increase in expenses were employee cost. Employee cost has risen almost 31% on the year -on-year basis primarily because of increase in hea dcount , the number of head count has increased also because of variable pay and coming to quarter -on-quarter basis it is down 10% on a quarter -on-quarter basis primarily because in the previous quarter we had a larger variable pay provision. Total

number o f employees as we speak is now 2,500 which was last year about 2,136.

Coming to finance cost :

Finance cost is up Rs.18 crores to 18.68 crores , up 2% quarter -on-quarter, 40% year -on-year and that is primarily because of increased borrowing which is because of our g rowth in our margin trading book . Now coming to admin cost, admin cost is now Rs .55.9 crores which is down 14% quarter -on-quarter and up 37% year -on-year primarily because of increase in sub brokerage pay out as well as increased spending in technology and lead generation advertisement . Finance and then asset under management and subsidy Rs.1,12,000 crores approximately the fall in because of mark -to-market movement because of the fall in the market. Today total turnover for this quarter is Rs.1,26,700 crores which is still Rs .1,485 crores in cash and Rs .1,25,215 crores in derivatives. Corresponding figures for the previous quarter was Rs .1,11,535 crores which was 1,884 crores in cash and Rs .1,09,651 crores in derivative segment.

We continue to leverage and we continue to invest in technology because we think that is the key differentiator in the days to come an d there you need to invest in technology for a better customer experience and trade experience.

We acquired 1,63,000 compliance in the previous quarter there has been some decrease which is in line with the broader market also.

With this, I come to the end of my talk and we will be more than willing to answer any questions that you have. Thank you so much.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Mudita Nahar from Abakkus AMC. Please go ahead.
Mudita Nahar : Just one question, the margins have been impacted in this quarter , do I understand because of the top line and rising expense but going forward working on steady state basis what can we expect on the margin fr ont sir?
Management: See actually what you said is correct , because last quarter we had significant impact because of both increase in employee cost as well as admin cost. So, we will take steps to improve the margins in the days to come. So, I hope that i n this coming quarter we should see a improvement.

Mudita Nahar : So, sir what would be the strategy going forward to do that sir is there any change in the strategy from our end?
Management: Actually, it is very difficult to have a dramatic change in the s trategy on the quarter -on-quarter basis. So, because we have added manpower. So, the increase in manpower cost is because of both of actual number in the headcount incr ease as well as because last quarter there was a annul increment also and the reason we have to be generous with the annual increment is simply because we are coming of a growing market and we have got the expectations high and plus there was a variable payout also. So, because of al l these combinations we are seeing this increase so it is very difficult and investment in both technology and manpower it is needed for the long- term steady state basis so I cannot make a commitment saying that we will cut cost dramatically here, but obviously we have to increase improved volatilities. So, we are taking steps towards that.
Mudita Nahar : Sir on the top line basis like for increasing the revenue is there any strategy that we are going to do it?
Management: So, we will continue to make efforts to increase the customers and cross sale and hoping that growth at investment banking pipeline picks up . We have a healthy pipeli ne as I said condition improve and we should consume it at some base so that is also
Mudita Nahar : So, on steady state basis can we like close the year end by like a 40% margin or how would you see that EBITDA margin?
Management: See last year we had a big kickers from investment banking because we had record in in

vestment banking so that is highly profitable business. So, if the market conditions improve and investment banking income picks up so then we should see a reversal of improvement in margins.
Moderator : Thank you. The next question is from the line of Kajal from ICICI Securities. Please go ahead.
Kajal : Sir two things one is have you gain market share in cash in spite of decline ADTO that is there and second is in terms of customer acquisition , now how much share you are seeing on the new customers and new plan and old plan and whether h ow much is happening digitally, digitally meaning without any manual assistance or something like that?
Management: To answer your question on the market side basis and on a F&O basis and on a full market basis only we did. We have managed to increase some market share. So, 1.15% being a 1.18% . In the cash segment we are seeing marginal decline in our market share we are now 2.6% that was about 2.9% in the previous quarter and that is primarily because of some loss of market share in institutional segment. Coming to other question of our customer acquisition we make efforts to increase customers, but we want to optimize our cost of customer acquisition. So, my guess is that I do not have the exact figure, but approximately 60% to70% of the customers acqui sition is absolutely do it to yourself without any human intervention .

Kajal : Out of the 100% that you acquire 70% must be doing do it yourself way for account opening?
Management: If you are talking about brokerage plans , guess is that 90% of the brokerage will be on the discount plan that is the flat bro kerage.
Kajal : 90% of new customers will be under that brand coming under that plan?
Management: Yes, but I will check and get back to you I think my guess is that much, but I will get back to you with exact numbers. I will email and sent it to you . Thank you so much as you know we are always available. So, anybody has any questions please feel free to send at investor.relations@iifl.com and we will be more than happy to answer all your questions. Thank you so much for your time.
Moderator : Thank you. On behalf of IIFL Securities Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2022

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October 31, 2022

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Tel No.: 2659 8235
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NSE Symbol: IIFLSEC

Dear Sir/Madam,

Sub: - Earnings conference call transcript

Please find attached herewith transcript of the earnings call held on Friday , October 21 , 2022 . The same is also made available on the website of the Company i.e.
https://content.indiainfoline.com/wb/securities/reports/IIFL%20Securities%20QQ2FY23 - %20Transcript%20Final.pdf?_ga=2.262694668.1887459813.1667212526- 2017514718.1654148603

Kindly take the same on record and oblige .

Thanking You,
Yours fait hfully,
For IIFL Securities Limited

Meghal Shah
Company Secretary

“IIFL Securities Limited Q2 FY23 Earnings Conference Call”

October 21, 20 22

M
ANAGEMENT : MR. R. VENKATARAMAN – MANAGING DIRECTOR ,
IIFL SECURITIES LIMITED

MR. RONAK GANDHI – CFO , IIFL SECURITIES
LIMITED
MS. VEENASHREE – INVESTOR RELATIONS , IIFL
SECURITIES LIMITED

Moderator : Ladies and Gentlemen , Good day and welcome to Q2 FY23 IIFL Securities Earnings Conference Call. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assis tance during the conference call, please signal an operator by pressing '*' and then ' 0' on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to the Managing Director – Mr. R. Venkataraman . Thank you and over to you, Sir .
R. Venkataraman : Thank you. Good afternoon friends. At the outset , I take this opportunity to wish all of you a very Happy Diwali and best wishes for a prosperous New Year. I am R. Venkataraman , the Chairman and Managing Director of IIFL Securities and along with me are my colleagues Ronak Gandhi who is the CFO an d Veenashree who looks after Investor Relations for the entire IIFL Group.
Thank you for joining the second quarter FY23 Analyst Call. I hope all your near and dear ones continued to remain safe.
Just as we seem to have come out of the COVID pandemic the world has entered into volatile phase once again this time driven by economic and geopolitical events which are affecting market sentiments. We are also entering into an era of high interest rates which central bankers across the globe are doing to rain in inflation. T hough Indian markets has shown resilience still now, external shocks may keep the market volatile .
Broking as a business has started gaining momentum and also IPO activities have picked up as stock markets are stable. Our strategy continues to be built on research, technology and talent. We have edge in capital market because of our research and understanding of economy and corporate that helps our business line since all our business lines are centered around capital markets. We have three revenue stream s, retail broking targeted at af fluent tech sav vy customers where we offer not only broking, but other products like mutual funds, insurance, PMS on an open architecture model. Other line of business is I nstitutional broking. We are one of the leading domestic institutional brokers and third is I nvestm ent banking where we are focused on the equity capital markets.
Coming to the September 30th numbers :
Consolidated revenues for the quarter came in Rs. 323 Crores up 10% Q-o-Q. Brokerage income has increased by 12% on Q -o-Q basis to Rs. 16 3 Crores. Distri bution income again increased by 33% on a Q -o-Q basis to Rs. 54 Crores . Investment banking decline by 16% on Q -o-Q basis to Rs. 24 Crores against Rs. 29 Crores in the previous quarter simply because of the nature of business and income is booked when deal s are closed . On a Y -o-Y basis Brokerage income has increased by 14% and D istribution income have increased by 6% whereas I nvestment banking has decreased because last year quarter was quite good. Other income has increased by 10 9% on a Q-o-Q basis to Rs 6.8 Crores and it has decreased by 65% on Y-o-Y basis.

Coming to expenses :
I think the expenses was flat which is employee cost was flat on a Q -o-Q basis but has increased 17% on Y -o-Y basis becau se of increase in headcount as well as increase in normal paying hikes which happened during th is year. Finance cost was at Rs. 19 crores flat Q -o-Q and reduced 37% on Y-o-Y basis simply because last year we had borrowed highly for IPO funding this line item was not there . Adm in cost was at Rs. 123 crores which ha d increased 11 % Q-o-Q and 23% Y-o-Y primarily because of sub brokerage payout outs as well as increase in technology and marketing cost. Asset s under management the custody stood at Rs. 1,18,000 crores, average turnover for the quarter was Rs. 1,35,000 crores BSE/

NSE combine d which was Rs. 1,700 crores
in cash and about Rs. 1,33,000 crores in derivatives. Previous quarter was Rs. 1,26,000 crores which was about Rs. 1,500 in the cash segment a nd Rs. 1,25,000 crores in the derivative segment. With this I come to the end of my remarks and I will answer any questions that you may have. Thank you so much.
Moderator : Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain : Just a couple of questions firstly it is more on the industry front so firstly what happened at the

time of payout that changed the rule change, did you face any challenges out there or how was the thing implemented?

R. Venkataraman : This payout of money which happened I think 7th October. I think this was industry wise phenomenon a nd it happened smoothly. So, I think that although everybody was saying that the banking system will come under load, but I think even currently almost all brokers have the technology, systems in place and this payout happened smoothly I do not think there is a big challenge.

Prayesh Jain : And within how much time the customers money would have come back to us?

R. Venkataraman : That is a good question I think money is slowly coming back. It took almost three, four days to come back.

Prayesh Jain : So, 80%, 85% would have come back in three to four days?

R. Venkataraman : By now 85% has come back, but in the first 2 days I think the number would have been close to 40%, 50% instead of 80%.

Prayesh Jain : And sir how many of your customers would have chosen one month versus three months payout?

Ronak Gandhi : Most of the clients are on the three months settlement only, very few number are on monthly settlement and after SEBI circular many of the client have updated on a quarterly settlement to keep their money .

Prayesh Jain : So, quarterly settlement is somewhere where we would be earning higher float income right, is there a threat that the float income would reduce substantially going ahead?

R. Venkataraman : My guess is that what you say is directionally correct. So, there is a probability of reduction of float income for sure .

Ronak Gandhi : Earlier the regul ation was to do settlement from the trading days, but now you have to do once in a quarter so that money will stay with you for a t least 3 months and also Interest rate are rising.

Prayesh Jain : And sir this is again a broader industry level question possibly I think you can answer this for me what happens if the broker wise hits and so can you do it on a separate card?

R. Venkata raman : I think broker wise limit is linked to the card and not a promoter, but it is a technical question I think I have to check and get back to you. You are talking about broker wise position for F&O being hit. So, this is a technical question I should c heck and give you a correct answer technically. So, we are saying that if I take multiple card can I increase the market wise limit I think I will have to check back because I do not know it is a technical question.

Prayesh Jain : That is the exact questio n we are looking for because some of the market participants are talking about having a sailing in that term and that is the reason there are some issues on Zerodha , so that is the thing why I wanted to understand whether if they have another group entity which has another card whether they can shift customers there or whether the incremental customers can be brought in on that card and those individual customers can also trade on Zerodha app so those were the broader question which I wanted to understand?

R. Venkataraman : It is a good question and actually I do not have an answer for this.

Moderator : Thank you. We have a question from the line of Prayesh Jain from Motilal Oswal Financi

al
Services. Please go ahead.

Prayesh Jain : So sir just first of all a feedback that conference call invite was not addressable easy even on the exchanges it was just an inclination and we did not have any details out there so first that is the feedback not too many people have received the invite on the conference call?

R. Venkataraman : First thank you for this feedback and I thought that we have said this yesterday to night to the m ailing we have .

Prayesh Jain : And secondly on the F&O options volume they have actually gone really very high and have been sustainably increas ing every month- on-month, what is the way you think about this whether is there further room of growth in terms of F&O volumes or possibly going ahead we might see some mu ted trend or even decline how would you see this?

R. Venkataraman : You know Prayesh t o be very frank if you had asked me this question 10 years ago when we were together that time I would have thought that the exchange volume are 90 -10 and that has

peak derivative now it is 99-1 in favor of derivatives against cash and out of the 99 also l ike 90% on more that is options. So, that is tremendous, stupendous rise of option volume that really surprised me and so at this point of time like you I am also thinking that you had peaked out and given my past mistake I am afraid to stick my neck out s ay that it has peaked up so like you I am also concerned. If you ask me to take a guess I would say that it is just peaked up.

Prayesh Jain : And how do you see the primary market behaving from now on so first this half continue second half would be challe nging as what you have seen in the first half?

R. Venkataraman : My guess is that if the market remains stable the way they ha ve been in the recent past. So, IPO activity will be good. I think in the month of October was good for IPO activity and November also looks to be good as of now. So, my guess is that I would say it would not be as good as last year because last year was a blow out year, but I think I am optimistic for the next few months.
Prayesh Jain : Sir in a broking business how has been the trend between institutional and retail?
R. Venkataraman : See retail has been growing institution has been growing I think both are growing.
Prayesh Jain : Both have seen a growth in this quarter?
R. Venkataraman : Yes.
Moderator : Thank you. We have a next ques tion from the line of Varship Shah from Envision Capital. Please go ahead.
Varship Shah: If I look at the other expenses they have gone up like significantly Y -o-Y so at least wanted some more information as to the investment you are making in technology and your employee and how is just more details on that?
R. Venkataraman : Bulk of the other expenses growth has been on technology and marketing. So, those are the two items which have seen a growth and so basically g oing ahead also I would say that now on marketing would not grow so much. Technology it is a wild card and we have to keep on investing.
Varship Shah: One of the slides in the presentation speaks about collaboration with Fintech players like the kind of presentation speaks about it, so just wanted more details on that?
R. Venkataraman : So, basically what has happened is that earlier we wished to be a believer of doing all things in all. In the last one year even we have seen the Fintech partners are there who are doing far better job. So, we have a large number of Fintechs with whom we work. So, I think we work with Trendlyne which is in research and we have WealthDesk for specific goals . So, we have tied up with most of the m, is there any specific thing yo u want to know and I think these were the trend across the industry because amongst most of the industry players one thi ng is that because of Open API all of them instead of developing fe atures , they are taking Open API and add

ing

visuals . Thank you so muc h everybody who joined in and wish all of you a very Happy Diwali and best wishes for a prosperous year if you have any questions then please feel free to reach out to either Ronak or Veenashree and we will be more than glad to answer. Thank you and have a nice day.
Moderator : Thank you sir. On behalf of I IFL Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

IIFL Securities Limited
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May 3, 2023
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Mumbai 400 051.
Tel No.: 2659 8235
Fax No.: 26598237/ 26598238 NSE Symbol: IIFLSEC

Dear Sir/Madam,
Sub: - Earnings conference call transcript
Please find attached herewith transcript of the earnings call held on Tuesday , April 25 , 2023. The same is also made available on the website of the Company i.e. https://www.indiainfoline.com/securities/reports/transcrip -Final- IIFLSecuritiesLtd -Earnings -25-April-23-clean.pdf

Kindly take the same on record and oblige .

Thanking You,
Yours fait hfully,
For IIFL Securities Limited

Meghal Shah
Company Secretary Encl: As above
8IIFL SECURITIES

"IIFL Securities Limited Q4 FY23 Earnings Conference Call"

April 25, 2023

M
ANAGEMENT : M R. R. VENKAT ARAMAN – CHAIRMAN & MANAGING DIRECTOR , IIFL SECURITIES LIMITED
MR. RONAK GANDHI – CFO , IIFL SECURITIES LIMITED

Moderator : Ladies and gentlemen , Good day and we lcome to the IIFL Securities Q4 FY23 Earnings Limited . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assis tance during the conference call, please signal an operator by pressing '*' and then '0 ' on your touchtone phone . Please note that this conference is being recorded.
I now hand the co nference over to Mr . R. Venkat araman – Chairman & Managing Director . Thank you and over to you, Sir.
R. Venkat araman : Thank you and Good afternoon everyone and welcome to the Q4 FY23 Analyst Call of IIFL Securities. I am R. Venkat araman . I am the Managing Director of IIFL Securities and accompanying me is Ronak Gandhi – our CFO.
In its latest bi-monthly monetary policy, the RBI has press ed the pause button on rate hikes . This move has come as a relief for the market participants and corporate s alike . RBI was quick to underline that the decision should not be construed as the end of the rate hike cycle. This seems to be a prudent approach. March CPI also came in at a 15-month low at 5.6% and core inflation excluding food, fuel stood at about 5.8% and all eyes will be on the inflation trends.
According to NSO 's advance projections , India 's GDP is predicted to grow at 7% in FY23 effectively retaining its position as one of the world's fastest growing major economies.
During the quarter , global regulators acted swiftly to rei gn in the crisis caused by the collapse of a few banks in the US which exposed the entire system to vulnerabilities especially in a rising interest rate scenario.
Going ahead, we believe that capital will move in sync with emerging economic news across the global coupled with geopolitical news as well as global interest rate scenario.
During the quarter we put up a good performance on the back of continued traction in the Affluent Broking and Distribution businesses. Our Investment Banking division completed 8 deals across capital market s, debt advisory and private equity. We are working towards sharpening our strategy and focus on affluen

t customers in line with the reorganization structure approved by the Board which happened last quarter. The reorganization scheme is awaiting regulatory approval.
Coming to the result for March 31st:
Consolidated revenues for the quarter came at Rs. 405 crores up 17% quarter -on-quarter, 12% year-on-year. For the quarter -on-quarter basis our brokerage income increased 17%, Rs. 181 crores versus Rs. 155 crores mainly because of growth in our Institutional Broking business.
Distribution income has grown 78% on a quarter -on-quarter basis Rs. 95 crores versus Rs. 54 crores and that was primarily driven because of product closure in our Life Insurance business.
Investment Banking has decreased 22% quarter -on-quarter Rs. 32 crores in this quarter versus Rs. 42 crores in the previous quarter.
On a year -on-year basis brokerage income has increased 15% Rs. 181 crores versus Rs. 157 crores.
FPD income has increased by 69% Rs. 95 crores versus Rs. 56 crores in the last year and Investment Banking has decreased significantly because last year four th quarter was a bumper quarter for our Investment Banking business where we have clocked in revenues of Rs. 66 crores which has fallen down to Rs. 32 crores and primarily due to muted primary market activities.
Coming to other line -item s:
Other income was at about Rs. 3.29 crores which has fallen 34% quarter -on-quarter and 78 % year-on-year basically due to mark -to-market losses investment and that too primarily in the BSE shares which we have been holding for decades.
Then comes to employee cost :
Employee cost was virtually flat quarter -on-quarter and down 4% on a year -on-year basis and that is primarily to do with the variable payouts.
Average finance cost was up 6% on a quarter -on-quarter basis and that is primarily due to an increase in the interest rate in line with the overall interest rate hike in the system. Admin cost was increased by 16% quarter -on-quarter and 27% year -on-year mainly due to technology cost increase as well as sub -broker pass outs and marketing cost.
Other line items :
Assets under custody is about Rs. 1,24, 573 crores - roughly Rs. 1,05,000 crores in custody asset

in demat and Rs. 20,000 crores in other products which is mutual fund, AIF, debt, fixed deposit , etc.
Average tur nover for the quarter was Rs. 1,95, 604 crores BSE, NSE combined which was Rs. 1,604 crores in cash segment and Rs. 1,94,000 crores in derivatives segment. The corresponding figure for the previous q uarter was Rs. 1,56,756 crores which was Rs. 1,569 crores in cash and Rs. 1,55,187 crores in the derivative segment.
With this, I have come to the end of my opening remarks and I will be more than happy to take any questions. Thank you.
Moderator : Thank you. Ladies and gentlemen we will now begin the question -and-answer session. Our first question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain : Sir, you mentioned that your IE (Institutional Equity) revenue s have improved sequentially . Could you quantify that for me as to what was the quantum of IE revenues and how much have they gone up sequentially?
R. Venkat araman : We do not share all those details, but roughly 50-50 , Investment Banking fell and ins titutional equities have increased.
Prayesh Jain : Out of the broking how much will be institutional equities?
R. Venkat araman : Broadly speaking it will be 60 -40 now.
Prayesh Jain : 60 is retail and 40 IE?
R. Venkat araman : Yes 40 is Institutional.
Prayesh Jain : Out of the broking Rs. 180 crore that we did?
R. Venkat araman : Yes.
Prayesh Jain : And sir you mentioned about the interest cost going up, how has been the margin trade funding book for us?
R. Venkat araman : Actually, margin tr ading book has

fallen down. R oughly now it is about Rs. 600 crores , at peak it was Rs. 700 crores. We do not have a significant margin funding book , so that is an opportunity for us to grow.
Prayesh Jain : How many of your customers will be using ; around 4 lakh customers you have - out of that how many would be using the margin trade funding facility right now?
R. Venkat araman : Roughly about 25,000.
Prayesh Jain : Large scope of growth there.
R. Venkat araman : Yes.
Prayesh Jain : And have you passed on the increase in interest to the customers or you have retained the cost impact?
R. Venkat araman : Actually, Prayesh that is on a case-to-case basis , the business is very competitive and all brokers including your own firm are very aggressive in offering attractive rates . Some we passed , some we retained ; that is the correct answer. To say that we have passed 100% is a wrong statement.
Prayesh Jain : And sir on the upstreaming of funds to the Clearing Corporation , do you see any impact for you guys , I think one of the broker mentioned that they have some Rs. 40 crores impact?
R. Venkat araman : We have not worked on the Mathematics of exactly how it will be impacted, but there will definitely be an impact if the upstreaming guideline comes because now the float income has hold on.
Ronak Gandhi : And as of now they have allowed the fixed deposit so there will be no impact as of now.
Prayesh Jain : But how much you deposit as bank guarantee s, as bank guarantees is something which is not allowed right now?
R. Venkat araman : No banking guarantee s are allowed. So, now the new guideline which has kick in is that with client funds you cannot make bank guarantees. So, you have to use your own funds to make fixed deposits on which you will get th e bank guarantee.
Prayesh Jain : Not material impact?
R. Venkat araman : There will be an impact, but the impact has not been calculated. So, obviously everybody will find a work around. To say that there is no impact is wrong , there will be an impact. The exact quantum of that is not ascertained .
Prayesh Jain : And on your distribution business , the impact on ce this AMC regulation , which is not yet out, but the way it has been spoken in the media , if the TER cuts are implemented, what kind of cuts you will anticipate on your mutual fund commission and last time because somewhere in 2019 when the TER cuts were implemented that time distributor took a lot of hit so even this time would you think that the distributor hit would be the biggest?
R. Venkat araman : At least if you believe the media , everyone is talking about 25- 35 basis point cut. So, in my

opinion I think the mutual AMCs will pass it on . I do not think they will be taking it on their
books . So, I am sure there will be some impact.
Prayesh Jain : And last question again on these regulations only, the another part is about broking being
included in the TER and that would kind of impact the IE business so that could be challenging for the IE business?
R. Venkat araman : So, if this happens obviously IE income will be affected, but the thing is if you look at it the
industry has passed through all those challenges, but overall size of the pi e keeps on increasing.
So, hope that the growth in the p ie will offset some of it, but obviously at the unit level there
will be no hit.
Moderator : Thank you. Our next question comes from the line of Ujvin Nevatia from Nevit Investments.
Please go ahead.
Ujvin Nevatia : Sir, my first question is regarding the impact of interest rate hike on your finance cost actually
can you give you a rough idea how much of the cost has been passed on to the clients?

R. Venkat araman : No, actually the previous analyst also asked the same question so basically if we would have
pa

ssed some cost and some cost we have to take the hit simply because the broking is very
competitive and most of the brokers a re offering very attractive rates . So, to say that we have
passed on 100% of the increase is wrong. I think some of that we have to take it because some
big customers you have to maintain the rates or offer them good rates.
Ujvin Nevatia : Sir, can you give a rough idea for how much percentage of the AUM it has been passed on?
R. Venkat araman : Very difficult to say , I do not have a number in mind, but I will ask the CFO to calculate and get
back because I do not want to hazard a guess.
Ujvin Nevatia : Sir, my second question is - in your MTF loan book how much it is financed by the internal
source of funds and how much is financed by the external source of funds?
R. Venkat araman : Actually, it will be 50% from our own funds and we have borrowed about 50% so that is the
correct answer. Of the 600 crores book , 300 crores is from own funds and 300 crores is
borrowed.
Moderator: Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain : I just wanted to pick your brains on how do you see the brokerage rates moving from here on,
on the retail side especially now that the compliance cost have been moving up possibly with
the loss of float income as and when is implemented, so how do you see the brokerage rate kind
of trending from here on?
R. Venkat araman : Prayesh that is a very good question and if you ask me to put a forward -looking question in the
last 20 years we have seen only way decline of brokerage rates. So, now I have a feeling that
given the fact that as you rightly pointed your compliance cos t is going up, float is going away,
this TER will come and impact institut ional broking and you have forgo tten one more thing
technology cost is also rising every day. So effectively I have a feeling that if this trend continues
then all brokers will have no choice but to increase rates. I think there will be a time sooner in
the next 10 to 15 months when rates will go up. If not rates going up, then the continuous decline
of rates which we have seen in India will at least stop. So, now the days of all this super discount
rates in my opinion is difficult to come by.
Prayesh Jain : And do you also anticipate more consolidation if you look at the number of brokers that has been
reducing ever year, do you think that will kind of gain further momentum and eventually much
lesser player will be there in the industry and that will be ki nd of good for large brokers like us?
R. Venkat araman : You know what is happening in the industry is that in the last maybe 5 years all the industry
players have always been tal king about a consolidation in the industry, but for some strange
reason , it has never happened and I think your company Motilal was a pioneer in taking over
regional brokers. Even in the last 3 - 4 years , two things have happened , one is technology cost
has increased dramatically , second is compliance cost has increased dramatically and you know

with every day new compliances coming in, the smaller regional brokers who were earlier
relationship -based , are finding it more and more difficult. So, all of them h ave surrendered their
cart and become sub brokers or partners of larger brokers. So, in my opinion what you say is
correct this trend will increase, especially given the fact that now upstreaming comes, or other
changes come, then obviously it will much more difficult for them - they were earlier a class of
brokers who were small, but cater ing to a niche audience, what we call as typically super
relationship broking. So, all those people will more or less have problems and t he consolidation
will happen.
Prayesh Jain : And sir more on this affluent strategy say from a 3- year, 5

-year perspective how do you see the
business kind of shaping up - in between mix of broking, distribution and interest income - how
do you see this of shaping up for IIFL Securit ies?
R. Venkat araman : My guess is that as of now we have about 70: 30 transaction to non-transaction , and in the next
3 to 5 years , we should be able to flip it fully.
Prayesh Jain : I did not get that sir, we will be able to?
R. Venkat araman : As of now transaction to non -transaction is 70:30 and this number should become 60: 40 meaning
60 non transaction 40 transaction , that is what we are working towards.
Prayesh Jain : Again, last question in terms of transfer of 1.5 million dema t account s to 5paisa , at what stage
are we in and by when do you plan to complete?
R. Venkat araman : Sorry your second question.
Prayesh Jain : When do you plan to complete this 1.5 million demat account s transfer?
R. Venkat araman : A s of now we are awaiting SEBI approval and then we have go to NCLT. So, I think we are
about 8 to 9 months away.
Prayesh Jain : And how is IIFL Securities gaining out of this transfer ?
R. Venkat araman : See if you look at the reason why we did this - IIFL Securities had online retail trading customer,
private client group, institutional equities and franchise business es. The entire online trading
business which was a small portion comprising online retail customers has been transferred to
5paisa . This will help us mitigate the overlap with 5paisa and have us focus more on the private
client group and franchise business es. So, I would say the big benefit is about focus and
conducive culture for a business t hat is suited for that because for the same RM , it is difficult to
handle a Rs. 1,000 customer and also a Rs 1 crore customer.
Prayesh Jain : Trader terminal sits in IIFL Securities as a cost or as an asset?
R. Venkat araman : See trader terminal sits with u s, but effectively 5paisa has its own separate tech platform and
tech cost.
Prayesh Jain : So, basically the customer s will be transferred from trader terminal to 5paisa ?
R. Venkat araman : That customer would be transferred from IIFL Securities traded terminal to 5paisa traded
terminal equivalent.
Moderator : Thank you. Our next question comes from the line of Kajal from ICICI Direct. Please go ahead.
Kajal : Sir two things - one are the incremental customer s, which we are adding , purely from the flat
fee plans or because we want to move to more affluent customers are we seeing some traction
there and two the incremental volume surge which we have seen sequentially , is it coming from
this bracket only or from sub broker s, any color on that?
R. Venkat araman : See if you look at our customer acquisition , as you rightly pointed out , our pace of acquisition
of customers has fallen as we have decided not to spend money in acquiri ng online retail
customers. So, most of the customers are coming from either the affluent channel or the sub -
broker channel. So, the flat fee proportion is less - I would say that earlier it was 80 :20 flat fee
and now it is about 40: 60 flat fee, because th e affluent broking whether it is done through
relationship managers or sub brokers has driven the surge in derivative volume.
Kajal : What will be the color of this customer like any income bracket or anything?
R. Venkat araman : So, the networth bracket will be primarily more than I would say 5 mi llion.
Kajal : And sir the breakeven or CAC , is it changing for you for these set of customers then?
R. Venkat araman : See earlier we used to spe nd a lot of money in acquiring customers , so that cost has come down.
So, this cost has al ready factored in the RMs and sub brokers that are in place. So, on a n
increment al basis I hope that CAC is coming down .
Kajal : Because earlier we were having 1000 kind of number on the CAC?
R.

Venkat araman : Earlier because we used to acquire a large number of customers - if you see our acquisition
numbers , we had acquired 2 lakhs or 1.5 lakh per quarter , that has fallen dramatically to 50,000.
So, obviously we are not spending money to acquire these customers on that scale. I do not want
to say we do not spent money, but not on that scale.
Kajal : And anything on breakeven for these customers which you are acquiring?
R. Venkat araman : I think breakeven should happen faster because these are from broker acquisit ion.
Kajal : And second in this sequential surge in F&O volume which we have seen , we have not seen a
sequent ial retail back -to-back quarter -on-quarter brokerage income surge – it was Rs. 118 crore
in the previous quarter and it is Rs. 121 crore in this quarter on a sequential basis, so how do we
read that?
R. Venkat araman : No, because of volume the increase has happened.
Kajal : Sir, there is no material increase against volume – 1,54,000 crore to 1,94,000 crore is a

significant gap on a sequent ial basis on F&O volume?
R. Venkat araman : No, if you see the number s 1,55,000 crore became 1,94,000 crore .
Kajal : But accordingly, we are not seeing retail brokerage income rising QoQ , that's my question?
R. Venkat araman : This quarter growth has been driven by brokerage from institutional income and retail income growth has been marginal. So, it is not commensurate with the steep growth because for F&O, all the customers that come in HNI segment , the rates are already quite low. So, there is no direct correlation between the increase in volume , especially on expiry date , they get special rates .
Moderator : Thank you. Our next question comes from the line of Sumit Jankar from Vardhaman. Please go ahead.
Sumit Jankar : I want to know the contribution of derivative s in brokerage from retail segment?
R. Venkat araman : I did not understand your question.
Sumit Jankar : I just want to know the contribution of derivatives in brokerage for retail segment?
R. Venkat araman : Derivative will be about 70 :30.
Sumit Jankar : My next question is regarding active clients, so overall in the market active clients are dropping since last 10 months, so how do you see in coming quarter could this phenomenon comes to end or go on?
R. Venka taraman : Number of active customers are falling down and as I said right now we are not focused on increasing the number of active customers at all. We are focused on improving the number of active high value affluent customers. So, we are more focused on trying to generate brokerage, do more cross -sell rather than just focus on the one metric which is number of active customers.
Moderator : Thank you. Our next question comes from the line of Devvrat Mohta from Capital International. Please go ahead.
Devvrat Mohta: I had a couple of questions , firstly on the industry, on the float income , by when does this start having an impact on the financials of all the broker?
R. Venkat araman : Actually, we do not know when the circular will come, people are expecting it in this coming quarter. So, once that comes, only then the impact will start . We have to read the fine print on how we can protect ourselves. So, my guess is that directionally speaking yes there will be an impact and we have to wait and watch for the final circular before concluding the extent of impact.
Devvrat Mohta: Can you just help me understand little bit on what exactly is the plan here?
R. Venkat araman : So, the plan is that the regulator says that the broker will not keep any money of the customer with the broker. So, suppose you have Rs. 1 crore and you give it to me , it is sitting in my bank account and I report to the exchange that this money is lying with

me. Now, the regulator says that this mon ey has to be given to the Clearing Corporation , so you lose the float income.
Devvrat Mohta: And this would impact mostly independent brokers like yourself or the bank brokers or the new age brokers also - who is kind of most impacted by this?
R. Venkat araman : It will impact every broker only the degree of impact will be less. So, people like us will be very badly impacted because we do not have a bank in the ecosystem. So, new age brokers, people like us , everybody will be affected. Bank broker s to some extent will be relatively better off because anyway that money was always staying in the bank account and they were just marking a lien. I do not know what is the transfer pricing or what is the equation they have. So, to that extent they will be affected, but we have to wait and watch for the fine print and read on the concept of lien whether the lien can be done or they have to actually take the money and upstrea m it.
Devvrat Mohta: But basically I mean the impact you are saying will be greater for standalone brokers, so what about the new age one, would they be probably impacted just as much as or worse , I mean similar to you all?
R. Venkat araman : They will be similar to us when I say independent brokers I do not mean whether you are old age or new age. So, there are two category of broker s, broker and bank- based broker. So, anybody who is not a bank -based broker , I guess the effect will be equal.
Devvrat Mohta: Can I ask one more question on your own financial s, if I look at your results quarter -on-quarter you had a big jump in insurance revenue this quarter versus last quarter what is happening there?
R. Venkat araman : This year th e new regulations kicked in from 1st of April where the 5-lakh cash has been put in for guaranteed return product s, so obviously we had a product closure and we will be benefitted from so we sold a lot of insurance in the last quarter.
Moderator : Thank yo u. Our next question comes from the line of Ankur from Alpha Capital. Please go ahead.
Ankur : So you are saying that the big jump in this quarter is because of institutional business, so can you comment on the visibility of that in the coming quarters and the year?
R. Venkat araman : Actually, it is a very difficult question to comment on and it is very difficult to comment on the visibility, especially in any transaction more on the broking industry space. So, last quarter we

were lucky that we got a couple of very large orders from clients so that helped us to bump it
up.
Ankur : So, any color how has this quarter will be as almost one month has passed, what are your expectation s sir?
R. Venkat araman : Difficult to make any forward-looking statement.
Ankur : And on dividend yield what is our expectation , we have been paying dividend payouts of 30% to 40% , so what kind of expectations can we have?
R. Venkat araman : D ividend yield of 30% will continue. So, on that there is no doubt , it is given as per company defined policy. The only reason why we are not being more aggressive in payout , because I assume that your next question would be that some of our competitors are more aggressive , is given the fact that the regulations are becoming tighter on capital requirements on broker s, working capital requirement will increase so it is better to conserve cash.
Moderator : Thank you. Our next question comes from the line of Raaj from Arjav Par tners . Please go ahead.
Raaj : So, to the earlier analyst you were explaining about the free float amount which would go to the Clearing Corporation, so can you explain it to me again?
R. Venkat araman : You know what happens is that historically when you give money to the broker so suppose you have Rs. 1 crore and that Rs. 1 crore which comes to me stays with me and as and when you buy, I pa

y to the exchange and give you the shares. So, there are some customers who give us money and do not trade. So, that benefit of that money comes to that broker. So, SEBI is very clear says that the moment customer gives you money of Rs. 1 you have to straight away give it to the Clearing Corporation. So , for example, you give me money Rs. 1 crore so the 1 crore which was lying in my books will now go to the Clearing Corporation . So, it will be a pass through.
Moderator : Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain : Just m ore clarity on this float income again , the announcement that happened in the SEBI Board Meet was that there can be three forms of money transfer to the Clearing Corporation, one is the cash that directly has to go to the Clearing Corporation , second is we can convert it into FDs and possibly pledge a loan against it and third is co nverting into overnight mutual funds. So, the second and third options are followed then the float income would continue to be with the broker?
R. Venkat araman : That is the reason we said that we have to see the final circular before commenting.
Ronak Gandhi : As per the current circular there is no impact on the float income because we majorl y invest everything in FDs and overnight mutual funds .
Prayesh Jain : I think the only change would be that you have to do this on a daily basis now is that the right thing?
R. Venkat araman : Yes.
Prayesh Jain : And possibly the mix of overnight funds will increase and that would kind of lower down the yield s on the float?
Ronak Gandhi : On the cash side , we have to upstream it, but majorly all the money is parked in fixed deposit and which are placed with exchange.
Prayesh Jain : And second part is on the ASBA thing - ASBA for the secondary market transaction , currently it is voluntary for both brokers and customers, but how do you see this eventually panning it out because if this has to be implemented then definitely the float income will go away 100%?
Ronak Gandhi : As of now it is for UPI clients , so the amount is like Rs. 2 lakh which will not be major because the client base what we have, they do a bigger transfer. So, as of now there is no major impact for us.
R. Venkat araman : But theoretically what you said is correct . If they say that do it with ASBA only, then float income will go away entirely . At present , we have alternat ives of fixed deposit and liquid funds . Operational intensity will also increase.
Prayesh Jain : So, currently only up till Rs. 2 lakh can be blocked is that the right thinking?
R. Venkat araman : Rs. 2 lakh has moved up to 5 lakh.
Prayesh Jain : That is a very small amount right?
R. Venkat araman : Yes.
Moderator : Thank you. Our next question comes from the line of Ketan Athavale from Robo Capital. Please go ahead.
Ketan Athavale : I just had one question, how ma ny franchise or channel partners do we have?
R. Venkat araman : We have about 7,000 franchise and channel partners.
Ketan Athavale : And how do you see that number in 3 to 4 years?

R. Venkat araman : So, this number should double.
Moderator : Thank you. Our next question comes from the line of Pranay Jhaveri from JNJ Holdings. Please go ahead.
Pranay Jhaveri : Sir, I have two questions - one is basically what is the status of the real estate sale and the current valuation for it?

R. Venkat araman : We have currently 6 ,20,000 square feet of real estate. The big chunk is Chennai 2 ,50,000 square feet. So, basic ally we have offices in Ahmadabad, Mumbai then Pune, Thane, Gurgaon, Hyderabad locations. So, the book value is about Rs. 227 crores and market value as per external value r is about 670 crores, but we are valuing it a

t Rs. 220 crores, 27% is leased to outsider and rental income is 27% from outsiders and rest is from with in the group , out of which I am confident that in this coming quarter we s hould be able to get rid of Ahma dabad as talks are in advance stage and others also we will work on exiting.
Pranay Jhaveri : How big is Ahmadabad?
R. Venkat araman : 25,000.
Pranay Jhaveri : Value w ise?
R. Venkat araman : Value I do not have it written with me.
Pranay Jhaveri : So basically, maybe if you can just over a period of time say in next 2 years, 3 years you think what should the sale amount be?
R. Venkat araman : To be very honest we sold some properties 2 years ago and then we got hit by a road block. So, my guess is that Mumbai , Thane and Gurgaon will retain and rest we will try to sell, so as and when it happens.
Pranay Jhaveri : So, is it fair to assume that out of that, this 27%, which we are for captive, you said it is other way around, right 70% is captive.
R. Venkat araman : 70 is captive.
Pranay Jhaveri : So, over a period of time is it fair to assume that 25% - 30% will be sold?
R. Venkat araman : You can assume that out of 6,20,000 , our target is to sell about 2 lakh for sure.
Pranay Jhaveri : Sir my next question is seeing the current valuation and your dividend distribution policy which is at 30%, would a buyback be a better option, what is your thought process?
R. Venkat araman : No, that is a good question I think one of the previous gentlemen asked us the question on dividend payout policy also. So, as of now roughly about 30% - 35% we are paying out and reason is that we decide to retain cash is simply because working cap ital requirement for this business is increasing and it is better to see how this new circular unfolds because taking a call on more aggressive pay o uts.
Pranay Jhaveri : So, 30% - 35% payout would that be used over a buyback?
R. Venkat araman : O ur CFO we will work and find out which is best for the shareholder and do the needful . We did one buyback.

Pranay Jhaveri : Yes, that was on February 21 at 54 bucks.
R. Venkat araman : Yes.
Moderator : Thank you. Our next question comes from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.
Swarnabh Mukherjee : Two, three questions first one on the client acquisition side so 7,000 channel partners that you have mentioned, so if I were to look at your client acquisition so earlier , as you mentioned that 2 lakh customers you are focusing about a year back or so and now you are bringing it down focusing on the affluent segment, how does your sourcing mix change because of that?
R. Venkat araman : The sourcing mix earlier was about 80 :20, 80 wa s acquired by us , 20 was done by sub brokers ; we used to spend on online channel and acquire customers. So, now if you look at the business now I think it will be 70: 30, 70 will be acquired by partners and 30 by us.
Swarnabh Mukherjee : And what we do that is predominantly online or also through branches as well?
R. Venkat araman : Through branches , RMs everyone.
Swarnabh Mukherjee : But I mean if I were to look at our own direct mix how would that number look?
R. Venkat araman : What was the question?
Swarnabh Mukherjee : The question is you are saying 30% right now is done by us directly, so right now is that predominantly online stream out of that 30%?
R. Venkat araman : I would say maybe 50:50 online and offline. Offline is also there because we are using all the branches and the RM also.
Swarnabh Mukherjee : In terms of the kind of customers we are getting right now , what would be the mix in terms of say where they are located, the geography or the demographics?

R. Venkat araman : Tier-2 Tie r-3 from all over India and for demographic s we don't have a clear -cut data handy.
Swarnabh Mukherjee : Sir, Tier-2, Tier-3 in thi

s now reduced , I mean with very focused kind of acquisition, what would
be the share of Tier -2, Tier-3 right now?
R. Venkat araman : I do not have an exact number right in front of me. You can connect with us separately . So, basically your question is that out of this 50,000 customers you acquired last quarter , which are
the cities from somewhere we are getting .
Swarnabh M ukherjee: So, what kind of geography and I wanted to compare vis -a-vis what it was in Q4 last year when you are kind of hitting the peak in terms of acquisition? 811FL SECURITIES
IIFL Securities Limited
April 25,2023

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R. Venkat araman : Understood.
Swarnabh Mukherjee : So, that is one and also wanted to understand that in your retail growth broking revenue what would be the share of what is coming from the partners - what would be the gross broking
revenue share that is coming in your overall retail gross broking pie?
R. Venkat araman : It is roughly 50 :50.
Swarnabh Mukherjee : And in the Life Insurance distribution what would be the kind of mix between new premium and the renewal premium and what would be our commission?
R. Venkat araman : We collected about Rs. 160 crores in life and Rs. 120 crores in GI so total of Rs. 280 crores and year before that, the same figure was Rs. 188 crores.
Swarnabh Mukherjee : Sorry sir, I did not get , so out of say, for example 81 crores of life insurance premium in FY22 , how much would be the renewals?
R. Venkat araman : 100% is first year , renewal is separate.
Swarnabh Mukherjee : And overall, of the commission what would be the commission number , at least the rate at a blended level?
R. Venkat araman : Rate we cannot share.
Moderator : Thank you. As there are no further questions I would now like to hand the conference over to
the management for closing comments.
R. Venkat araman : Thank you so much for a set of really engaging questions and whatever questions I could not answer with clear -cut data, you can contact our CFO and maybe he will get back to you. Thank
you so much.
Moderator : Thank you. On behalf of IIFL Securities Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. 811FL SECURITIES

Call: Aug 2023

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Dear Sir/Madam,
Sub: - Earnings conference call transcript
Please find attached herewith transcript of the earnings call held on Wednesday , July 26 , 2023 . The same is also made available on the website of the Company i.e.
https://www.indiainfoline.com/securities/reports/IIFL_Securities_Q1FY24_Transcript_Final.pdf

Kindly take the same on record and oblige .

Thanking You,
Yours fait hfully,
For IIFL Securities Limited

Meghal Shah
Company Secretary Encl: As above

"IIFL Securities L imited
Q1 FY '24 Earnings Conference Call"
July 26, 202 3

MANAGEMENT : MR. R. VENKATARAMAN – MANAGING DIRECTOR –
IIFL SECURITIES LIMITED
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER –
IIFL SECURITIES LIMITED
IIFL Securities Limited

Moderat or: Ladies and gentlemen, good day, and welcome to the IIFL Securities Limited Q1 FY '24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during this conference, please signal an operator by pressing star, and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R Venkatara man, Managing Director, IIFL Securities. Thank you, and over to you, sir.
R. Venkataraman: Thank you, and good afternoon, everybody. Thank you for joining us on this Q1 FY '24 analyst call for IIFL Securities. I am R Venkataraman, and I'm accompanied by my colleague, Ronak Gandhi, who's the CFO. Once again, thank you for joining us today.
And despite the continued headwinds in the global markets, India's macroeconomic stability is quite reassuring. IMF has also increased India's GDP forecast for FY '24 from 5.9% to 6.1%, which is basically reflecting the strong macroeconomic situation India is in compared to rest of its peers.
We also have favourable demographics coupled with the focus of the government on building physical , financial , digital and administra tive capacity through the mantra of reform, perform and transform. And all this augurs well for India on a long -term basis. And this is reflected in the performance of the stock market indexes also. Nifty is within kissing distance of 20,000, which is a li fetime high.
At IIFL Securities, our focus is to capitalize on th ese market opportunities by making investments in strengthening our research capabilities, technology capabilities and also making sure that our client s are protected. We also expect that in the days to come , the affluent segment will grow very fast, and hence, our renewed strategy is to focus on catering to the needs of the affluent segment.
We are pleased to inform that our investment banking capabilities are getting recognized. We are yet a gain the number one banker for equity IPOs in India as per PRIME Database. And our investment banking division completed nine deals across capital markets, debt and private equity. Overall

, our performance for the first quarter has been quite good. Busines s outlook is positive.
Coming to specific numbers. Consolidated revenues came at INR411 crores, 39% up year -on-year and flat on a quarter -on-quarter basis.
On year-on-year basis, brokerage income has risen 22%, INR 177 crores versus INR145 crores and finan cial products distribution income ha s doubled, INR85 crores versus INR41 crores. And effectively, the key drivers are obviously sale of AIF, PMS, health and insurance. Our insurance business continues to show traction. And investment banking has been, I wo uld say,

icing on the cake, INR55 crores in this quarter versus INR30 crores approximately for the same quarter last year.
On a quarter -on-quarter basis, again, investment banking has risen 71%, INR55 crores versus INR32 crores. Our financial product distr ibution income has fallen down 11%, INR85 crores against INR95 crores, primarily because of seasonal peak of insurance in the last January, February, March quarter. And brokerage income has been virtually flat. Other income has decreased to INR1.91 crores because of mark -to-market losses on investments.
Coming to expenses. Employee cost was virtually unchanged quarter -on-quarter and has increased 4% on a year -on-year basis. Finance cost has gone up 8% quarter -on-quarter and 12% Y -o-Y basically because of in crease in the overall borrowing cost. Then admin cost has increased 15% quarter -on-quarter, 63% year -on-year basically because of increase in sub - broker payout and also an increase in technology costs.
Our assets under management and custody is INR1,47,000 crores, which is approximately INR 21,000 crores in equity and INR 1,26,000 crores in custody assets. Average daily turnover for the first quarter was INR2,30, 816 crores, which was about INR1,655 in cash and INR2,29, 161 crores in derivative segment. Figur es for the previous quarter w ere INR1,95,604 crores, INR1604 crores approximately in cash and INR1,94,000 crores in derivatives segment.
I'll come in to other updates. One is the update of scheme of arrangement within IIFL Securities and 5paisa. The Board o f Directors on 6th of December 2022 had approved transfer of IIFL Securities' online retail trading customers to 5paisa Capital. As of now, we are awaiting for NOC from the exchanges and SEBI. As and when it happens, then we'll take up

other steps in the p rocess.
Second thing is about the order of SAT. SEBI's mandate order dated 19 th June prohibited the company from onboarding new clients for two years as a stockbroker. This is pertaining to inspections carried out for different periods from April 2011 to 2 017.
We are of the view that the Enhanced Supervision Circular dated 26/9/2016 was made effective on 1st of July 2017, and this application we think was unfairly applied to us on retrospective basis. And Securities Appellate Tribunal, SAT, has stayed this order. And currently this matter is sub judice.
More importantly, we'd like to reiterate SEBI ’s own assurance in its very own order impos ing restrictions that even SEBI has not found anything wrong subsequent to the enhanced supervision circulation becomin g effective in 2017. I quote the order, “I find no instance of misuse of clients funds by the Noticee placed before me which has occurred subsequent to implementation of Enha nced Supervision Circular dated September 26, 2016 “.
The second was -- in the mat ter of NSEL, IIFL Commodities was a member of the National Spot Exchange. And in 2013, if you remember, NSEL had defaulted in its settlement obligations to investors and our clients' money, about roughly INR279 crores was held. As you are aware, the matter is under investigation by EOW, ED, SEBI, SFIO and other people also.

IIFL Commodities acted like a broker for the investo

rs of NSEL and just facilitated execution.
And as a registered broker as per the bylaws, rules and circulars of NSEL, NSEL was a count erparty in its guaranteed settlement of trades and the same was confirmed by the erstwhile government regulator, FMC, also by its order dated December 17, 2013.
The Session Court on 6th of May, directed attachment of properties of IICL for repayment.
And t his -- we are pleased to say that the Honorable Bombay High Court has stayed this. And now again, this matter is also sub judice.
We would like to reiterate that the company had transfer red funds received from clients to NSEL and had not retained any part of i t. And hence, we have not accepted or taken any deposit from customers. NSEL reserves responses for repayment and refund and the entire obligation is towards them.
With this, I come to the end of my opening remarks, and I'll be more than happy to take any questions that you’ll have. Thank you so much for giving me a patient hearing.
Moderator: Thank you very much.
R. Venkataraman: Actually, if any of them have any questions later, also they can send an email to our Investor Relations , we will be more than h appy to answer all questions.
Moderator: We do have one participant in queue, sir. Pranay from JNJ with the question, please go ahead.
Pranay: Two questions. One is regarding this, how quickly do we expect this transfer to happen to 5paisa and allotment of that share? And i s the ratio, basically it's fixed like we are supposed to receive one share of 5paisa for all 50 held. Is that fixed or ...
R. Venkataraman: And yes, that is fixed. That is not going to undergo a change. And as of now, we are waiting for a pprovals, and I don't know how long those approvals will take. So once approval comes, then within six months this entire transfer as per the scheme should happen.
Pranay: Okay. And another question is, can you throw some light on the real estate piece , basically in terms of sales or in terms of valuation?
R. Venkataraman: No. So actually, as you know, we have been saying that we have properties across and we have been trying to sell the properties. Mumbai and Delhi properties , we are not interested in selling. So if you remove these two , big properties we are interested to sell is in Chennai, Hyderabad and Pun e but we are not getting a good price for it, and we don't want to be destressed sellers.
Pranay: So anything that we can forese e in FY '24 or...
R. Venkataraman: See, actually, to be honest, we have been trying to sel l for the last one year a nd we are not able to get a good deal. Frankly speaking, at this point in time, the management is of the opinion that we should not p anic and sell it at a bad price. We are getting rent and all these offices are being used by us, so we are just waiting.

Pranay: Okay. And last one question. Seeing the cash flow and our balance sheet, what is the thought process on buyback from the man agement's view?
R. Venkataraman: See as of now, what has happened is that we are taking a conservative view to preserve cash.
We have an attractive dividend payout policy. So its 30%, 35% now. Apart from that, I think the Board can decide on the buyback part of it. As of now, it's just wait and watch.

Moderator: Thank you. Sir, we have no further questions from the participants at this time…
R. Venkataraman: Okay. thank you so much. And as I said in the beginning also, we are available to take any questions that you'll have over a period of time. Thank you.
Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

Call: Jan 2024

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January 3 1, 2024
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NSE Symbol: IIFLSEC

Dear Sir/Madam,
Sub: - Earnings conference call transcript
Please find attached herewith transcript of the earnings call held on Tuesday , January 23, 2024 . The same is also made available on the website of the Company i.e.
https://www.indiainfoline.com/securities/reports/IIFLSecurities -Earnings -23Jan -2024_final.pdf

Kindly take the same on record and oblige .

Thanking You,
Yours fait hfully,
For IIFL Securities Limited

Meghal Shah
Company Secretary Encl: As above

"IIFL Securities Limited Q3 FY24 Earnings Conference Call"
January 23, 202 4

MANAGEMENT : MR. R VENKATARAMAN – CHAIRMAN & MANAGING DIRECTOR
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER

SIIFL SECURITIES
811FL SECURITIES C H O R L L"
IIFL Securities Limited

Moderator: Ladies and gentlemen, good day, and welcome to IIFL Securities Limited Q3 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to a sk questions after the presentation concludes . Should you need assistance during the conference call, please signal operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R. Venkataraman. Thank you. And over to you, sir.
R. Venkataraman: Thank you, and good afternoon, everyone, and welcome to the Q3 FY24 Analyst Call of IIFL Securities. Along with me is Ronak Gandhi, who is our CFO. Wis hing all of you a very happy and prosperous New Year.
Coming to the global macro, India remains the fastest economy, with real GDP expected to grow upwards of 6% over the next 2 years. Monetary policy easing across the g lobe is expected to start somewhere in the second half of calendar '24, which should support business investment and, discretionary household spending. In an Indian context, government investments will continue to remain high. Downside risks remain due to heightened geopolitical tensions.
Coming specifically Indian markets, calendar '23 ended on a high note for the domestic mutual fund industry , Indian crossed INR50 lakh crores. Also in the end of December '23, mutual fund ownership of Indian markets was about 8.7%. Retail and other individ uals hold another 9 .7% which is marginally above the IIFL ownership of about 18.2%. These data points point out to a deepening of the Indian capital markets.
Coming to IIFL Securities, we are pleased to announce a nother a strong quarter, primarily driven by an investment banking business, where we completed about 17 transactions in this quarter.
Coming to results numbers. Consolidated reven ues for the quarter came at INR 582 crores, which was up 68% year -on-year and 9% on a quarter -on-quarter basis. The re ason for this steep increase on a year -on-year basis was that brokerage income increased by 73% , INR268 crores this quarter versus INR155 crores in Q3 FY23.
Distribution income also increased significantly, INR100 crores

for this quarter versus INR53
crores for the quarter last year, primarily d riven by sale of products like AIF, PMS and insurance.
Investment banking increased by 32%, INR55 crores in this .
Coming to a quarter -on-quarter basis, brokerage income was virtually flat, at about INR268 crores . Distribution income increased by 18%, INR100 crores versus INR85 crores. And investment banking increased 45%, INR55 crores versus INR38 crores in Q2 FY24. Other income was INR24 crores, increased by 373% year -on-year and reduced 12% on quarter -on-quarte r basis, primarily driven by mark -to-market gains in BSE shares .
Coming to expenses employee cost was down marginally 7% on a quarter -on-quarter basis and if you look at finance cost, finance cost was up 42% on a quarter -on-quarter basis, up 134% on a yea r-on-year basis because of increased borrowings that was -- and the borrowing was done primarily to support our margin trading book. 811FL SECURITIES

Employee -- sorry, our admin cost was down marginally 9% and increased 4 7% due to increase in our sub -broker pass out as w ell as increase in technology expenses. Our assets under management i n custody, INR 1,81,582 crores, out of which roughly about INR 24000 crores in cross -sell. Our average unit turnover for this quarter was at INR2,71,309 crores, which was -- which is about INR2,495 crores in cash segment and INR2,68,815 crores in the derivatives segment. Corresponding figures for the previous quarter was INR2,49,979, which was INR2,445 crores in cash segment and INR2,47,533 crores in our derivatives segment.
With this, I co me to the end of my remarks, and I'm available along with Ronak to answer any questions that you may have. Thank you.
Moderator: Thank you very much. We'll take the fi rst question from the line of Hiten Boricha from Sequent Investments. Please go ahead.
Hiten Boricha : Yes. Thanks for the opportunity. Sir, 2 -- 1 bookkeeping question, and other 1 is on customer acquisition. So can you just give me the breakup of the cash we have in the books, the breakup of cash of the company and the cash of the client or the margins we have or the actual cash in the books?
R. Venkataraman: See, our own cas h is about -- roughly about INR 430 crores and clients will be about INR3,500 crores .
Hiten Boricha : Okay, sir. Okay. Thank you. Sir, my question is on the customer acquisition. As we can see in the presentation, we are adding like 50,000, 55,000 customers per quarter since last 3, 4 quarters.

So my question is what are we doing to get the customer acquisition more? We used to do around 2 lakhs, 2.5 lakhs a couple of quarters back, I believe, 4, 5 quarters back. What are we doing to add more customers? And are w e going to do that to 1.5 lakh customer acquisition per quarter again?
R. Venkataraman: Okay. As you're aware, on December 2022, so we had a strategic decision we have taken because, earlier, we used to acquire a large number of online retail customers. Th at's the first time we are acquiring lakhs. So we have a strategic shift because we have a sister company called 5Paisa, where this online retail trading customer acquisitions are happening.
So as of now, we are concerned more at getting more affluent customers than focus on slowdown in pace of customer acquisition . And going forward also, we will continue to focus on acquiring customers with bigger wallet rather than acquiring online retail customers.
Hiten Boricha : Sir, that 2 lakhs kind of number, which earlier was the number that was because of 5Paisa, right?
R. Venkataraman: No, No, no. 5Paisa is a separate company, but we are also trying to -- we are also acquiring customers similar to them within online retail customer.
Hiten Bor icha: Sir, no, I didn't get the second. Please explain me again. So sorry.
R. Venkataraman: No – at that time our customer acqui

sition was quite large because we used to acquire a large number of online retail customers, spending money on digital channels and social media,

etcetera. So as of now, we are focusing on acquiring more affluent customers, hence the cost -- hence, the numbers have come down.
Hiten Boricha : Okay, okay, okay. So our focused from online has changed to actual customers. Okay. Understo od, understood.
R. Venkataraman: Customer acquisition, that's 5Paisa is acquiring in lakhs, which is again a sister company .
Hiten Boricha : Okay. So what -- any ra tionale behind changing th is strategy?
R. Venkataraman: It is very simple because in the group, we had two companies, which is online retail customers, which is catered to by our sister company called 5Paisa. Here, we are more focused on the affluent customers, which are retail customers, more disposable or hig her investment of loss . So if you remember in December 2022 we have done this shift.
Hiten Boricha : Okay sir, thank you so much.
Moderator: Thank you. The next question is from the line of Narendra from Robo Capital . Please go ahead.
Narendra: Hi sir, thanks for the opportunity. So my first question is regarding your margins. So what do we take as the steady -state margins going higher? This quarter, it was above 40%. So was there any one -off? Or just wanted to get an idea of what is the steady state.
R. Venkataraman: Actually, it's difficult to give a number like a steady state margin for a cyclical business like us because when the markets are good, then things are good. So this -- our customers, there is no one-off. But you have to remember that we hav e seen huge activity in capital markets for the last 2, 3 months. And they had lots of logged deals, lots of -- and activities like this, which are boosting brokerage income.
Narendra: Okay, okay. So what kind of deal pipeline are we seeing on the investme nt banking side for the next...
R. Venkataraman: I can't share because -- but the investment banking deal pattern looks very good.
Narendra: Okay. So are we seeing a visibility -- how much visibility do we have, 3 months, 6 months?
R. Venkataraman: I think it's obviously having given -- I'll give you a standard estimate state of capital markets, but visibility looks very good.
Narendra: Okay. Got it. And regarding the -- what kind of traction are we seeing on the BSE derivative segment? That's your area for growth...
R. Venkataraman: Yes, derivatives. Yes. We are seeing traction in BSE derivative for sure.
Moderator: Thank you. The next question is from the line of Rishabh Nahar from Swan Capital. Please go ahead.

Rishabh Nahar: Hi, sir. Thank you for the opportunity. Just one question in terms of the customers. So the kind of customers that we're acquiring, it's more on the affluent segment. So what is the life cycle of these customers? Is it very different from the retail discou nt broking, like the 5Paisa and the other brokers?
Because those customers seem to be pretty cyclical, and their life cycle is 3 months, 6 months, 1 year. So is that, you know, are our customers a lot longer in terms of the retention there, the revenue th at they're contributing to?

R. Venkataraman: See, actually, that's a good question. We believe that our customers have got higher disposable income and more inclined to invest and -- rather than trade aggressively. But it's true, we don't -
- we have not do ne any psychographic or analytical modelling of this. So it's like I'm not in a position to give you a very scientific answer.

Rishabh Nahar: Okay. And so is it also that are we focusing on some sort of trading community, like, for example, like a Zerodha has a strong...

R. Venkataraman: No, you want to say that's absolutely correct. Bu

t there is a segment of what we call as the algo traders or the large volume, high volume traders. So historically, we have not done very well in that segment and -- primaril y because of very low yield. And so -- but that is one segment which is growing very rapidly. And I would say as a full -service broker, we need to improve our offering there.

Rishabh Nahar: Okay. Just one last question. So what kind of brokerage model do we provide? Because, you know, from whatever ground research that we have done, we see that you also provide a discount broker model, which is a little confusing. So just wanted to understand that?

R. Venkataraman: No, no. Actually, if you remember, we hav e also had this, I would say, the flat brokerage Z20 pricing scheme, which we used to have. So now we have discontinued it. So very rarely on special cases we give, but otherwise we are on that ad valorem brokerage rate. So you're right, actually. Historic ally, we were offering that.

Rishabh Nahar: Okay. So now any new customers that are coming in, we are not offering that anymore?

R. Venkataraman: We don't offer, but suppose, you know, in the market, suppose somebody comes and says, so it is on a case to c ase, it happens. But it is not such a big thing.

Rishabh Nahar: Okay. All right. So -- and then who decides that? Does the sub broker decide that? Or is that within the company?

R. Venkataraman: No, no, no. It is controlled by HO level.

Rishabh Nahar: Okay, alright. Thank you sir.

R. Venkataraman: I think the person previous to you also asked this question. So I was trying to explain him that the online retail customers who is a discount pricing model, we are no -- we are more or less trying to exit tha t space. 811FL SECURITIES

Rishabh Nahar: Right. Okay. All right, sir. Thanks.

Moderator: Thank you. The next question is from the line of Tushar Sarda from Athena Investments.

Tushar Sarda: Thank you for the opportunity. I wanted to understand breakup of your revenue. I ca n find three items in the presentation: retail brokerage; fixed income product distribution -- financial product distribution; and investment banking, but it doesn't add up to the total. So what are the other items?

R. Venkataraman: There is -- investment banking income has given in the presentation.

Tushar Sarda: Yes, yes. So retail brokerage is INR448 crores for 9 months. Financial product distribution is INR270 crores and investment banking is INR148 crores. Total income is INR1,400 something. So what is the breakup? I'm not able to reconcile this number?

R. Venkataraman: See, I'll tell you what. The component s of income are broadly investment banking income, financial products distribution income. There's something on other income there. There's mark -
to-market and other interest income item. Then there's some what we call interest income, rental income. And in brokerage -related income, there are a lot of things, apart from retail brokerage, institutional brokerage, DP income, DPC income and etcetera. So y our point is taken. Next time we will…

Management: You can refer to the results.

R. Venkataraman: So the results table has all the details. But next time, we'll bridge the -- we'll show it openly, so that all the numbers are -- so your concern is addressed.

Tushar Sarda: Okay. And is there any plan with respect to 5Paisa? Will that continue as a separate entity? Or any plan to...

R. Venkataraman: No. That will continue as a separate entity.

Tushar Sarda: It will continue -- so you have no plans to merge or takeover.

R. Venkataraman: Yes.

Tushar Sarda: Thank you.

R. Venkataraman: Thank you.

Moderator: Thank you. The next question is from the line of Rishabh Nahar from Swan Capital. Please go ahead.

Rishabh Nahar: I have just one question in terms of the 5Paisa. You were going to transfer the retail clients. A

nd

then I think there was a notification from 5Paisa that has been withdrawn. Is that true? Is that...

R. Venkataraman: That's true because we've also given a similar notification. So I'll just te ll you what is happening. So as you know, in December 2022, we have done a scheme with 5Paisa where we were 811FL SECURITIES

transferring our online retail customers to them. So just the entire activity, we have made applications after all those approvals to stock exchange s and SEBI. SEBI had a number of observations. And so basically, what has happened was that since there was a lapse of time because almost it's close to 1 year or more.
So basically, there was exchanges and SEBI said that you have to refile the scheme wit h additional clarification documentation, including valuation. So now we had a Board meeting yesterday. The Board decided, given the fact that database of customers, valuation, market condition, trading condition, everything has changed substantially in th e last 12 months.
So the Board says that you have to revalue and then come back to the Board and revaluate the scheme. So that's the reason why both the partners, which is 5Paisa and us, we have decided to go back to the drawing board and revaluate the scheme.
Rishabh Nahar: Okay. Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Tushar Sarda from Athena Investments. Please go ahead.
Tushar Sarda: Yes. Thanks for the follow -up. How much is your institutional brokerage? Be cause you mentioned there a lot of large block deals and all that because of huge activity?
R. Venkataraman: Yes, roughly about 60 :40 split of brokerage, retail and institutional.
Tushar Sarda: 60:40.
R. Venkataraman: 40.
Tushar Sarda: Okay. And last quarter, what was it?
R. Venkataraman: Same, 60:40, sir.
Tushar Sarda: Okay. Thank you.
Moderator: Thank you. Participants who wish to ask questions, may please press star and one. A reminder to all the participants that you may please press star and one t o ask questions.
R. Venkataraman: Okay. Since there are no further questions, I take this -- thank all of you for taking trouble and joining us on this call. As you know, we are available. So you can send an email to, investor.relations@ iifl.com, and we'll be more than willing to answer any questions that you have. Thank you once again and have a nice day.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of IIFL Securities Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you. 811FL SECURITIES

Call: May 2024

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May 24, 2024
The Manager,
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Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
NSE Symbol: IIFLSEC

Dear Sir/Madam,
Sub: - Earnings conference call transcript
Please find attached herewith transcript of the earnings call held on Friday , May 17, 2024. The same is also m ade available on the website of the Company i.e.
https://www.indiainfoline.com/securities/reports/IIFL_Securities_Q4FY24_Earnings_call_transcript_24-may -24.pdf

Kindly take the same on record and oblige .

Thanking You,
Yours fait hfully,
For IIFL Securities Limited

Meghal Shah
Company Secretary

Encl: As above

“IIFL Securities Limited
Q4 FY'24 Earning 's Conference Call ”
May 17, 202 4

MANAGEMENT : MR. R. VENKATARAMAN – CHAIRMAN AND NON-EXECUTIVE DIRECTOR – IIFL SECURITIES
MR. NEMKUMAR H – MANAGING DIRECTOR – IIFL SECURITIES
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER – IIFL SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to IIFL Securities Limited Q4 FY'24 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode. There will be

an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R. Venkataraman. Thank you, and over to you, sir.
R. Venkataraman: Thank you. Good afternoon, everybody, and welcome to the Q4 FY'24 Analyst Call of IIFL Securities. I'm accompanied by my colleagues, Nemkumar, Managing Director; and Ronak Gandhi, CFO.
The capital markets, including India, are doing well in spite of heightened geopolitical tensions, which are a significant short -term risk. India stands out as a fast growing economy. Key drivers being strong domestic demand as well as favourable demograph ics. Short -term volatility, due to elections to be announced in the 1st week of June, cannot be ruled out.
Outlook for Indian Capital Market s related businesses is good over the medium to long term. And this is irrespective of any short -term hiccups that we may see. And outlook is strong primarily because of low penetration of financial products, increased financialization of savings, technology development and evolved regulatory regime.
Coming to our results for March 31 st, consolidated revenues for the quarter came at INR704 crores, up 74% year -on-year and 21% on a quarter -on-quarter basis. On a year -on-year basis, brokerage income has increased 66%, which was INR300 crores for this quarter against INR181 crores for the last year same quarter.
Distribution income -- financial product distribution income has increased 23%, INR117 crores for this quarter versus INR95 crores for the last year same quarter and primarily because of sale of products like AIF, PMS and insurance. Investment banking has more than doubled INR76 crores for this quarter versus INR32 crores for the last year same quarter . For a quarter -on-quarter basis, brokerage income has increased 12%, distribution income has increased 17%, and investment banking income has increased almost 40%.
If you look at full year numbers, brokerage income has increased 58%. Indian capital markets had seen a stellar performance last year. Distribution income has also increased significantly and banking has also increased significantly. All our business lines have done very well in this year, primarily because of favourable capital market situation.
Other income has grown because of mark -to-market on investments. Then coming to expenses, big line item is employee cost which has increased almost 33% on a year -on-year basis, primarily because of increment as well as variable bonus provisions, given th e nature of our business.
Finance costs have increased 178% year -over-year, 26% quarter -on-quarter because of fund -based requirement, which is used for funding both margin as well as margin trading book. Other costs have increased 44% year -over-year and 1 3% quarter -on-quarter because of higher partner payout as well as increased spend in technology.

Some line items for housekeeping. Assets under management and custody is INR1,88,311 crores, which is roughly INR1,60,000 in custody assets and roughly about INR27,000 crores in cross -sell assets. Average turnover for the quarter was INR3,00,095 crores, which was BSE and NSE combined, which is about INR3,120 crores in cash segment and INR2,96,975 crores in derivatives segment. The corresponding figures for the previous quarter was INR2,71,309 crores, which was again INR2,495 crores in cash segment and INR2,68,815 crores in derivative segment.
So w

e had announced an interim dividend of INR3 in March and that has been taken as final.
The dividend has been kept . We have been conservative in terms of payout simply to retain cash, which is now required for the margin requirements for our growing brokerage business. And the second thing is separation of the post of Chairman and Managing Director of the company. The Board of Directors , based on the recommendation of NRC, has confirmed the appointment of Mr. Nemkumar as the Managing Director starting from May 15 , subject to requisite regulatory and shareholders' approval. The separation of the posts of Chairman and Manag ing Director is better aligned for better corporate governance.
Also, Narendra Jain, whose term ended on May 13th has also been reappointed for a period of five years , subject to regulatory and shareholders' approval . Thank you so much for giving me a patient hearing. And we are now open to answer any questions that you may have. Thank you so much.
Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Narendra from RoboCapital. Please g o ahead.
Narendra: Congratulations on a good set of numbers. Sir , my first question is that how many AAA associates or authorized persons do you have right now?
R. Venkataraman: See, we have almost 6,000 -plus partners.

Narendra: All right. Okay. And what w as this number a year ago? I wanted to know how much -- at what pace are we growing this number?
R. Venkataraman: I don't have the previous year number. So if you send me an email, I'll share that number with you.
Narendra: Okay , all right. Understood. And any idea how much revenue are these guys contributing to the business?
R. Venkataraman: See, roughly, if you look at our brokerage income on the retail side, these people will be contributing about 35%, 40%.
Narendra: Okay. 35% to 40%, right? Okay. So any target on how we plan to grow this number , the associate number... ?

R. Venkataraman: So these partners are a very important element of our growth strategy and we'll continue to acquire more and more partners. And given the fact that India is a vast countr y and we can't be setting up branches everywhere. So we will be focused on acquiring more and more.
Narendra: Okay. All right. I know you can't actually predict the market s, but any long term, say, over the next four to five years, what would we like to be our revenue or PAT or whatever number you're comfortable with, any aspirational targets about that?
R. Venkataraman: As I said in my opening remarks, outlook for capital market s related business is very good. So as of now, we have -- both in investment ba nking and institutional broking, we have built a very strong brand and we have a very strong competitor positioning and we hope to build upon that and increase our market share. And on the non -institutional segment also, we hope to build our competitive po sition and acquire more assets, more customers and these are the only high -level numbers, which I can share.
Narendra: Okay. And final question, how is our deal pipeline looking right now for the next year or so?
R. Venkataraman: So the deal pipeline is ve ry strong. And as you know, we have a very strong competitive positioning in banking , given the fact that we have a very strong research franchise and we have a very strong distribution franchise. And our distribution cuts across both institution and non - institution, which is retail and deal pipeline is robust and we are running as of now multiple transactions, which are at various stages of execution. So we are very optimistic.
Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal . Please go ahead.
Prayesh Jain: Congratulations on great set of numbers. Sir, firstly, more of a broader level question. We recent

ly heard that FM commenting on the retail F&O participation that needs to be checked. But on the other hand, if you look at the exchanges, they have been launching new products , expiries on a daily basis, lot sizes have come down. So how do you see this F&O activity kind of picking up from here on? Whether we see that is the peak or how do we see this? Definitely from a cash market perspective, there's a lot of scope. But from F&O market participation, there is even a lot of talk around that our share of notional turnover is far higher than even most of the developed markets. So how do we look at this? And how do you see the F&O market trajectory going head?
R. Venkataraman: See, Prayesh, I think when we have met some time ago, personally also, you had asked me a similar q uestion. And this is one question for which I don't have an answer because if we had met five years ago, 10 years ago and asked me to predict the way options volume would have exploded in India, I don't think I was capable of making this prediction. So wha t you say is absolutely correct.
In India , derivative volumes have taken off. Even in derivative options , volumes have taken off and options in cash, options on NIFTY, Sensex and all this -- Bank NIFTY and all have gone through the roof. And this is the l opsided nature of the market that 99.9 or 99.7 or 99.8 is happening in derivatives is a cause for concern. And as and when it happens, then we have to take it on our stride because it will be an industry -wide phenomenon.

Prayesh Jain: Got it. And sir, from IIFL Securities standpoint and strategy going ahead, the distribution partners that you just alluded to about 6,000 partners we have and they contribute about 35% of our brokerage revenues. How are we thinking about building them from a distribution standpoint? How much of the distribution revenues come from them? And do you think that this is a channel which can really bring up or scale up the distribution platform?
R. Venkataraman: See, actually, what we are saying is that earlier we were mostly focused on the brokerage part of it. And over time, we realized that these partners have client relationships to whom we can

sell other products also. So this is a gradual process, and it will take time, and we are working towards it.
Prayesh Jain: Okay , got that. Sir, another point was on the investment banking side where we have so many mandates. And the promoter exits that can bring in a lot of wealth management opportunities. Do we see this coming in -house in terms of opportunities of manag ing funds or how do we see this?
R. Venkataraman: So managing funds, meaning what?
Prayesh Jain: So when a promoter exits the fund, exits a stake, 5% stake he sells, those funds that goes back to promoters , where do you think that -- do you think there is an opportunity to manage these funds via the distribution arm? Or how do you think about this?
R. Venkataraman: So there is an opportunity, and we have to work towards marketing our services and getti ng those funds.
Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities.
Abhijeet Sakhare: Sir, on the distribution income side, is it possible to give a detailed breakup in terms of mutual fund commissions, insurance or any other products?
R. Venkataraman: So actually, I don't h ave the data readily available, but see, there are -- distribution income has income from insurance, mutual fund, AIF, PMS, so these are the broad components. Bonds also are there.
Abhijeet Sakhare: Okay , got that. And second one, so you mentioned about th e need to retain capital for margin requirements. But how do we think about this? Or how do we budget this? Is there a thumb -rule that you can share wherein, let's say, market volumes grow 20% or by X billion rupees, there is a certain number that you ha

ve in mind, which you need as a working capital for this business?
R. Venkataraman: There is no such number. But if you look at our MTF book, which is roughly about INR1,035 crores, we think that this book can grow easily. And we make good return on that, so it's better to retain cash for this.
Abhijeet Sakhare: And one more, sir, the margin requirement has more of a role to play in the retail business, right, not really much on the institution side?
R Venkataraman: Limited in the institution side.

Moderator: Thank you.
R. Venkataraman: If there are no questions, then we can end this call and anybody who has any further questions can reach out to either our CFO, Ronak Gandhi or Veenashree who handles the Investor Relationships .
Moderator: Okay, sir. As there are no further questions, I would now like to hand the conference over to Mr. R. Venkataraman for closing comments.
R. Venkataraman: Thank you so much. And our CFO and Head of Investor Relationships, Veenashree is available. And if you need any further que stions, please feel free to reach out to them. Thank you so much and have a nice day.
Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

May 6, 2025

Dear Sir/Madam,

Sub: - Earnings conference call transcript

Please ■nd attached herewith a transcript of the earnings call held on Tuesday, April 29, 2025. The same is available on the website of the Company and can be accessed at the following link:

https://■les.ii■capital.com/assets/Q4_FY_25_Earnings_Call_Transcript_d33015a4a2.pdf

Kindly take the same on record and oblige.

Thanking you,

Yours faithfully,

For IIFL Capital Services Limited
(Formerly IIFL Securities Limited)

Meghal Shah
Company Secretary

Encl: As above The Manager,
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Bandra (E), Mumbai 400 051
Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
NSE Symbol: IIFLCAPS

"IIFL Capital Services Limited Q4 FY '25 Earnings
Conference Call"

April 29, 2025

MANAGEMENT : MR. R. VENKATARAMAN – MANAGING DIRECTOR AND
CO-PROMOTER – IIFL CAPITAL SERVICES LIMITED
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER –
IIFL CAPITAL SERVICES LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to Q4 FY '25 Earnings Conference Call of IIFL Capital Services Limited .

As a reminder, all participant lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R. Venkataraman – Managing Director – IIFL Capital Services . Thank you, and over to you, sir.

R. Venkataraman: Thank you , and good afternoon , and welcome to the Q4 FY '25 Analyst Call of IIFL Capital . I am R. Venkataraman – Managing Director and Co-Promoter of IIFL Capital , and I am accompanied by Ronak Gandhi – our CFO.

We are living in volatile times and heightened geopolitical tensions continue to be a significant near-term risk. Macroeconomically speaking, India is still on a strong wicket, but geopolitical risks remain a concern.

As you know, IIFL Capital is a focused Indian capital market and wealth management financial planning player. Our legacy business was retail broking and we are on a way to transform this to a wealth management practice with a focus on asset accumulation and not merely transactional income.

To reflect the changed focus, the name of the company was changed from IIFL Securities to IIFL Capital Services Limited. We believe that we have all the pillars to successfully transform the legacy broking business into a wealth practice, be it brand equity, Rs. 2,500 crores of net worth, distribution reach across India, a critical base of customers, cutting -edge research, as well as technology for high quality user experience.

To facilitate this transformation, we recently hired Raghav Gupta and Prakash Bulusu . They have taken charge as joint CEOs to grow this business. They are experienced private bankers and prior to joining I IFL, they had long careers with ASK group in the private wealth business. The initial signs of this transformation are encouraging.

The other update is that Nemkumar joined the I IFL Capital in 2007, June of 2007, and was the Founding member of the institution equities business. Under his dynamic leadership, I IFL institutional equities comprising institutional broking and investment banking has scaled up extremely well over the years . Given the current focus on the affluent wealth business and to have this focus on business development , he has been redesignated as Chief Growth Officer and the board has accepted his resignation for the post of Managing Director. Subsequently, I have taken charge as Managing Director in the month of March .

Ms. Rekha Warriar , Independent Director , has been appointed as the Chairperson of the Board . This ensures the roles of the Chairperson and Managing Director are separate, which is a good corporate governance practice. She has been associated with the company since 2019 as an Independent Director . With over 30 years of experience in Reserve Bank of India , she will provide the company with invaluable guidance on corporate governance, regulatory compliance and other initiatives.

Coming to the results for the full year :

Consolidate d results for FY '25, revenues was Rs. 2,567 crores, which was up 15% year -on-year.

First, I will talk about the full year number and then I will talk about the quarterly number.

So, coming to the full year, total institution broking and banking, the revenue was virtually flat compared to last year, more or less at about Rs. 640 crores , and retail brokerage was up marginally at about Rs. 650 crores. And this retail broking has been impacted for the last quarter because of regulatory chang

es related to the expiry of derivatives and that has affected the F&O business. And of course market volatility in the JFM quarter also affected business.

Distribution income that has increased from Rs. 387 crores to Rs. 509 crores , up 32% and mainly because of increased focus on asset allocation , which was the key focus area. Other income was up significantly 132% from Rs. 70 crores to Rs. 162 crores. And that was primarily because of mark -to-market gains on B SE shares, some investments in AI F and also gain on sale of real estate property. We booked the profit of about Rs. 45 crores because of gain on sale of real estate. The increase in interest income by 27% from Rs. 329 crores to Rs. 419 crores was primarily because of increase in the margin funding book.

Coming to cost , manpower costs are up 29%, which is at Rs. 591 crores from Rs. 457 crores. And that was primarily because of hiring of the new wealth RM. And as a result, the average head count was up to 2 032 versus 1 ,880. And also we had granted ESOP of almost Rs. 90 crores to senior management.

Depreciation declined by 52% from Rs. 114 crores to Rs. 55 crores. And that is, if you remember, last year, fourth quarter, we had written off the entire investment we had made in Karvy acquisition. And because of this, it has fallen down.

Fees and commission expense increased marginally from Rs. 477 crores to Rs. 496 crores . Basically, these expenses are pass out marketing expenses paid for customer acquisition to external wealth partners for distribution income.

Admin costs decreased 9% from Rs. 353 crores to Rs. 321 crores because of marginal benefits of cost optimization. And as a result, profit after tax went up almost 40%, from Rs. 5 13 crores to Rs. 7 13 crores.

Now coming to the quarterly numbers. For the quarter ended March 31, 2025 , if you compare March 31, '24 with March 31, '25, which is year -on-year basis, total revenue decreased 20% approximately from Rs. 704 crores to Rs. 573 crores , primarily due to fall of exchange volumes due to tightening of norms for derivatives expiry as well as muted primary market conditions. And as a result, institutional and banking revenues also decreased from Rs. 215 crores to Rs. 97 crores. And because of which our I B income has seen some decline.

Retail brokerage was down from Rs. 194 crores to Rs. 117 crores, but distribution income increased by almost 62% from Rs. 117 crores to Rs. 190 crores.

Other income also increased from Rs. 18 crores to Rs. 36 crores, mainly because of mark -to-market or investments made in A IF and BSE and as well as some profits booked on other financial instruments.

Interest income declined marginally from Rs. 105 crore to Rs. 97 crore. Employee expenses increased 33% from Rs.122 crore in last Q4 FY '2 4 to Rs. 163 crore s in Q4 FY '25 due to ESOPs, increase in headcount and bonus provision .

Our depreciation fell sharply 75% from Rs. 63 crore s to Rs. 16 crore s, mainly because of the impact of Karvy hit we had taken in last year. And that I have already spoken about it earlier.

Fees and commission expense fell from Rs. 129 crores in Q4 FY '2 4 to Rs. 108 crores in Q4 FY '25. Admin expenses also fell from Rs. 98 crores to Rs. 80 crores as a result of some cost optimization. Due to this, primarily driven by the revenue decline, the PA T fell from Rs. 181 crores to Rs. 128 crores in Q4 FY '25 .

If you compare December quarter with March quarter, revenue again fell Rs. 646 crores in December to Rs. 533 crores in March, down 11%. Institution al broking fell and that was primarily driven by a steep decline in investment banking income. And then retail brokerage also fell from Rs. 150 crores to Rs. 117 crores, which was down 23%.

Distribution income increased because of more focus on getting cross -sell income. Interest income fel

l from Rs. 111 crores to Rs. 97 crores because of a relative decline in the MTM book.

Employee cost increased from Rs. 149 crores to Rs. 163 crores, mainly because of headcount and bonus provision , depreciation was flattish , fees and commission expenses was also virtually flat from about Rs. 118 crores to 108 crores.

Admin expenses increased marginally from Rs. 71 to Rs. 80 crores because of spending in marketing as well as technology. As a result, PAT declined from Rs. 197 crores in Q3 FY '25 to Rs. 128 crores in March quarter FY '25 .

Now, coming to some market turnover numbers. Our average daily turnover was Rs. 1,92,871 crores in Q4FY25 of which cash was Rs. 2,535 crores and derivatives was Rs. 1,90,336 crores. And this was almost Rs. 3 lakh crores in the Q4 of FY '2 4. And as I explained earlier, this was because of the tightening of derivative norms, particularly related to expiry of ind ices. And in March 31, 2024, F&O volumes were Rs. 2,96,975 and cash was Rs. 3,120 crores, which was

down almost 36%. And the same number was Rs. 2,78,267 in the December quarter, which was Rs. 2,75,520 in F&O versus cash of Rs. 2,747, again down almost 3 1%.
Now coming to income tax, the income tax authorities had conducted search activity during the month of January '25 at the registered office and other premises of the company. We extended full cooperation with income tax officials during the search and provided all details, clarification documents. We have not received any subsequent communication from the department regarding the outcome of the search. Hence, the impact on financial statements, if any, is not determinable.
Dividend, the Board of Directors on February 11 declared a dividend of Rs . 3 per share. And this has been already pa id and the same was considered a s the final.
And with this , I come to the end of my opening remarks , and we will be more than happy to answer any query that you may have. Thank you so much.
Moderator: Thank you very much , sir. We will now begin the question -and-answer session. We have our first question from the line of Nid hesh from Inves tec. Please go ahead.
Nidhesh: Thanks for the opportunity, sir. Can you share some trends on the retail ADTO market share for us in FY '25 over FY ’24 last two to three year trends ? That is one.
Second is, as we are now changing our strategy and building more towards wealth management, can you speak about how the approach towards business will change as we move towards wealth management business and away from our brok ing business?
R. Venkataraman: Sorry. Okay, overall market share for Q4 FY '25 was about 0.96%. Overall total on the exchange NSE volume and which was about 2.62 % in cash and 0.96 % in F&O. And the same was about virtually flattish for Q3 FY '25 at about 2.61 % and actually F&O was about 0.87%. So the trend is more or less the same if you look at the last 3 -4 quarters. The cash is more or less roughly at about 2.6 -2.7% and F&O is about 0.8 6% to 0.96%.
Nidhesh: Is this data including institution al business as well or is it just for retail ?
R. Venkataraman: Everything .
Nidhesh: Okay . And how are the trends on the retail business, if you can share that?

R. Venkataraman: See, retail, I don't have things separately on the retail part of it, but I will get back to you on the retail market share .
Nidhesh: Sure, sure. And secondly, we are going to have to share with the chang e in strategy and moving more towards wealth business , how will that change the approach towards business ? Let's say, how we look at the customer level profitability or overall profitability in that context ?
R. Venkataraman: See, basically what we think is that if you look at the way we are positioned, so if you lo

ok, we
have a significant presence in investment banking and institutional b roking business. And we think that this is a synergistic to the wealth practice because if you have client relationships at client level, you have multi -level offering to the client which helps us to deepen market share , it helps us to get deal origination as well as cross -selling. It's a synergistic benefit of the franchise. We also get some benefit on economics of scale, and also we share lot of market intelligence and research . And the way historically we have been structured, or we have been positioned, is that we have focused more on transaction income. And the entire firm was driven for, I would say, with the focus on transaction. And asset gathering was not a very, I would say, was not a measured metric.
So the big shift I would say in the mindset is that the focus will be more on asset gathering, focus will be more on selling, I would say, annuity products like mutual funds, AIF and PMF. And so basically we believe that the entire broking industry has bec ome a tech driven and hence the role of the RM is more towards client acquisition, servicing and asset gathering. So, this I would say is the big mindset change that will happen in the next 12 months.
Nidhesh: And will that have an impact on the cost to income ratio for us?
R. Venkataraman: Yes, of course , it will have some impact on the cost to income ratio in the short term simply because as the build -out is happening, there will be an increase in manpower cost and that has been evident because our manpower cost has risen. But this is a cost to pay for the long-term gains and we are cognizant of it and we will incur that cost.
Nidhesh: And lastly, if you can share the data in terms of institutional revenue breakup in terms of brokerage and fee income for the full year .
R. Venkataraman: I think the full year income for broking , roughly full year income was about Rs. 640 crores for institutional .
Nidhesh: Can you break up this Rs. 600 odd crores in institutional equities / broking business and fee income / investment banking business ?

R. Venkataraman: This is a combination of institutional broking and banking. I think the ratio will be about 60 -40, right? Roughly it will be about 60 -40.
Nidhesh: Okay, Thank you , sir. That's it from my side .
R. Venkataraman: Thank you.
Moderator: Thank you.
R. Venkataraman: Actually, sorry, to th at other question , if you send an email to our investor relationships or ronak.gandhi@iiflcapital .com, we will answer that.
Moderator: Okay, thank you , sir. He has gone back to the call.
R. Venkataraman: No problem.
Moderator: We have our next question from the line of Pavan Kumar, an individual investor. Please go ahead. Mr. Kumar, are you there?
Pavan Kumar: Hi, I am here. So , there is a significant jump in distribution income from Rs. 100 crores to Rs. 257 crores, despite the distribution AUM growing from 262 billion to 313 billion. So , it's about like a 19.5% or 20% growth in the AUM . But the jump in the revenue is significant. Can you explain how that is? I am referring to PPT slide number 17.
R. Venkataraman: One second. Yes, that is because we also had some amount of transaction al income booked in that because we had distributed certain shares of unlisted, certain unlisted shares, especially NSE. So that gain has been booked there.
Pavan Kumar: Got it, sir. Could you be able to quantify the NSE or unlisted transaction income share and what would be the MFPMS and AIF distribution?
R. Venkataraman: That I can tell you how much is that mutual fund and AIF. Out of the total distribution assets are about Rs. 31300 crores. We have about mutual funds of roughly Rs. 14,500 crores and more or less roughly about Rs. 7,000-8,000 crores of PMS and AI F and the rest is fixed inc

ome . So, this is a rough distribution of the assets, cross -sell assets.
Pavan Kumar: Got it , sir. So, what would be the revenue or the yield on these MF plus PMS plus A IF assets?
R. Venkataraman: Actually, on a blended basis, I think the yield will be about 0.75, 0.8, 0.9 x.
Pavan Kumar: 0.75% to 0.8% would be the blended yield.
R. Venkataraman: Yes.

Pavan Kumar: And sir, on the insurance side, you have about the income that, not the income, I mean the reported premium that you have reported, like the life insurance premium is around Rs. 735 crores. Is this entirely first year premium? If so, what would be the renewal?
R. Venkataraman: Yes, first year premium. Sorry, sorry, it is not Rs. 735 crores . It is Rs. 73 crores.
Pavan Kumar: 73, yes, sorry, Rs. 73 crores. What would be the renewal? Pardon me, sir. I missed you. What would be the renewal premium? Hello. Sir, I missed you. Can you please repeat it? What would be the renewable premium?
R. Venkataraman: So this is not renewal premium. It's the first-year premium.
Pavan Kumar: I understood. What would be the renewal premium is the question.
R. Venkataraman: I don't have the data right in front of me. I will share it with you. If you can send an email to ronak.gandhi@iiflcapital .com , I will share that with you.
Pavan Kumar: Understood, sir. I will do that. And in terms of the cost to income ratio, you were mentioning to the earlier question, what would be the cost to income this year for FY '25 and what is your guidance for FY '26? Can you give numerical numbers?
R. Venkataraman: We are not giving any forward -looking statement. That's why I won't be able to comment on the cost to income ratio for FY '26.
Pavan Kumar: Got it, sir. And f or FY '25 full year, what is the sub -brokerage charges as percentage of overall retail brokerage? Retail brokerage Rs. 650 crore revenue, right? Out of that, how much is paid out to sub -broker age?
R. Venkataraman: See, a ctually, the retail brokerage income of about Rs. 650 curves, roughly about 45% comes from sub -broker age.
Pavan Kumar: Okay. Thank you , sir. So, out of this 45% that you get, how much you pay?
R. Venkataraman: See, the industry norm is anywhere from about 75% to 90% , depends upon the scale of the sub-brokers , relationship and other qualitative factors.
Pavan Kumar: Got it, sir. Thank you.
Moderator: Thank you. A reminder to all participants, you may press star and one to ask a question. We have our next question from the line of Prayesh Jain from M otilal Oswal . Please go ahead.
Prayesh Jain: Hi, good afternoon , sir.

R. Venkataraman: Good afternoon, Prayesh.

Prayesh Jain: Sir, just on this wealth management business, you know, we had earlier seeded 36 0 One or you know, we had started this business way back and we did it via getting the two, getting people on board. And similarly, the strategy now that we are doing or what's the strategy then and where is the RM count today for the ultra H NI piece in particular?

R. Venkataraman: Basically, as I mentioned earlier, we have all the pillars to succeed because we have the brand, we have the balance sheet, we have the technology, we have the client reach. So, and given the way the brok ing industry is panning out and what is happening to the entire transaction space, it is imperative for us to do this transformation. And as of now, we have about 450 of the affluent RMs and roughly about 50 , I would say, HNI or Ultra -HNI RMs.

Prayesh Jain: Sir, could you repeat those numbers?

R. Venkataraman: 50.

Prayesh Jain: Five zero , fifty in the ultra -HNI? And then…

R. Venkataraman: Ultra -HNI, yes.

Prayesh Jain: Okay. And h ow many more do we plan to add in the next , say, one year or so?

R. Venkataraman: I thi

nk in the next one year, the headcount will go from 50 to about 100 or 120.

Prayesh Jain: Okay . And sir, on this insurance premium , life insurance premium has come down quite sharply now. Obviously, we cannot compare it with the FY '2 3 base because of the change in taxation at that point of time. But even then, on a Y -o-Y basis, even then this year, it's kind of down. How do you see this kind of business picking up from here on?

R. Venkataraman: See, actually we think that this business will not show a big spike , but it should get back to a slowly upper sloping graph in the mid -teens.

Prayesh Jain: Okay, And sir, just one last question on the IB business. You know, how much of the IB business that we were getting earlier was with respect to the relationship that we had earlier with 36 0 One and how much of the business we were doing organically?

R. Venkataraman: See, a ctually, it's very difficult to differentiate between what was organic and what was relationship -driven because even if you have a relationship, unless you have a proven capability to execute, nobody trusts their fundraising plans with you. So , we think that we got most of the business from banking part of it because we have a strong research, we have linkages with both domestic and foreign institutions, and third, which is extremely important , distribution amongst

all the channels. So , yes, there were references . But I think the deal closure happen ed because of our own strength. And so hence that is the reason why it is very difficult for me to give an exact number how much came because of that and how much came because of this.

Prayesh Jain: Got that. And sir, last question, do you think that the pain on the retail side from a broking standpoint is now behind and you know that the implications of all the regulations are now behind us, should we see an upward trajectory if the markets are supportive?

R. Venkataraman: My view is that the short term, I would still say that there will be some amount of recalibration happening. But if you don't have a short term, maybe one or two quarter view, I believe that given the low penetration of equity participation in the country , we will soon , and of course, as you rightly pointed, if the markets are supportive , we should see an upward sloping graph. But at least for the next one or two quarters, I am still unconstructed and I think because of volatility, we shoul d see some amount of headwinds.

Prayesh Jain: Got that. Thank you so much , sir.

R. Venkataraman: Thank you.

Moderator: Thank you. Before we move on to the next question, a reminder to all participants, if you wish to ask a question, you may press star and one on your touchtone phone. We have our next question from the line of Kshitij Taraf from Tusk Investments. Please go ahead.

Kshitij Taraf: Hi, good afternoon. Wanted to understand on the asset management side, you have made a few key hires and you mentioned this in your presentation as well and we see an I IFL FinTech fund with a Rs. 400-odd crore AUM if I am not wrong. So , could you just share some light on the plans and the hiring thereof and how much do you look to scale this to and what's the plan ahead?

R. Venkataraman: See, on the asset management side, actually we have one FinTech fund, which has been with us for almost 2 -3 years. We also have a derivatives advantage fund, which is again not exactly a long-short fund, but something similar. And we also have a equity fund which we are going to reposition. So, we have already recruited a fund manager for equities and he has joined us. And so, at this point in time, I would say that we are roughly close to about Rs. 800 crores –Rs. 900 crores of assets under management and this we think should easily double in the next one year .

Kshitij Taraf: Thank you . That's helpful. And are you planning to

launch mutual funds as well?

R. Venkataraman: No, it's unlikely, at least in the next 12 months it's unlikely . At this point in time, whatever

discussion we had with the board, it looks unlikely.
Kshitij Taraf: All right. And with respect to wealth, are there any new offerings we saw, there are things such as estate planning mapped out there. What's the size of the opportunity you see? And also,

because the competition over here is intensifying across the country, what would be your sort of unique differentiation in space ?
R. Venkataraman: See, f irst of all, I would say that this competition in India in any business is given . But what we have to look at is the size of the opportunity, and we are not selling credit cards in Singapore. So that's the way I tell everyone that that is the cause of optimism, because India is a vast country and I think we are just seeing the beginning of the industry and the growth . Coming to what we think are our unique , so you are right that we have started succession planning trust. These are important, I would say, services to be offered to the HNI, u ltra-HNI segment. And we also started a family office offering. So these are, I would say, essential offering s, especially for targeting the HNI, Ultra H NI segment.
And as I mentioned earlier, we think that we have the element of success because we have a brand, we have balance sheet, we have relationships, we have a critical mass of customers. And last but not least is , high cutting -edge research . And the fact that we have a strong banking and institutional equities practice, which effectively reinforces the relationship, because in some case we can help the HNI's monetize wealth, and in the other case they can also invest. So these we think are maybe the critical ele ments for our success.
Kshitij Taraf: Understood. Thank you so much.
R. Venkataraman: Thank you so much.
Moderator: Thank you. We have our next question from the line of Pranay from Johnson & Johnson . Please go ahead.
Pranay : Hi, sir. Good afternoon. Thank you for this opportunity. My first question is , basically in wealth management piece, what sort of a cash burn do we expect, and where do we see this wealth thing in next three years?
R. Venkataraman: See, i t's very difficult to give a cash flow number , because it's a function of team build out, business moat , etc. And I said that, at this point in time, we are doing a build out space. So my feeling is that since it is very difficult for me to make a forward -looking statement , so the key element to track is how our cross -sell assets grow. And we think that this should is a path which will rise . So, obviously, in the short term, because of people take time to join and become productive , there will be some amount of burn simply for the employee, on the employee cost part of it.
Pranay : Okay . And, sir, my next question is, basically one of our subsidiaries has invested in Avanti Feeds, they have taken a 4%, 4.5% stake. So what has the rationale behind IIFL C apital and IIFL Facilities investing in this?

R. Venkataraman: No, no, this is a wrong information. It was taken for selling purposes, and this is already off our books .
Pranay : Okay . So, we do not own any more shares in Avanti Feeds?
R. Venkataraman: We do not own Avanti Feeds as of now.
Pranay : Either IIFL C apital or IIFL F acilities ?
R. Venkataraman: Be it IIFL Capital, IIFL Facilities, or which ever company you spoke about, we do not have Avanti Feeds.
Pranay : Okay. Thank you so much, sir.
R. Venkataraman: Thank you.
Moderator: Thank you.
R. Venkataraman: If people have come to the end of the question, I would like to thank all the participants for participating and also asking questions. If you have an

y follow -on questions, please feel free to reach out to our investors desk. A nd thank you so much for joining us today, and I really appreciate your time. Thank you.
Moderator: Thank you . On behalf of IIFL C apital Services , that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Aug 2025

August 12, 2025

Dear Sir/Madam,

Sub: - Revised Earnings conference call transcript

This is a continuation of the Earnings Conference Call transcript submitted on August 4, 2025, for the call held on Tuesday, July 29, 2025 .

We wish to inform you that the revenue from the new wealth management team was inadvertently stated only for a month as ■8 Crores whereas revenue for the Q1FY26 was ■28 Crores. Accordingly, we are enclosing herewith the revised transcript . The same is available on the Company’s website and can be accessed at the following link:

https://■les.ii■capital.com/assets/Revised_IIFL_Cap_Earnings_Jul29_2025_clean_3726809f58.pdf

Kindly take the same on record and oblige.

Yours faithfully,

For IIFL Capital Services Limited
(Formerly IIFL Securities Limited)

Meghal Shah
Company Secretary

Encl: As above The Manager,
Listing Department,
BSE Limited,
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BSE Scrip Code: 542773 The Manager,
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The National Stock Exchange of India Ltd.,
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Bandra - Kurla Complex,
Bandra (E), Mumbai 400 051
Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
NSE Symbol: IIFLCAPS

“IIFL Capital Services Limited Q1 FY’26 Earnings
Conference Call”

July 29 , 2025

M
ANAGEMENT : MR. R. VENKATARAMAN – MANAGING DIRECTOR , IIFL
CAPITAL SERVICES LIMITED
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER , IIFL
CAPITAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to IIFL Capital Services Limited Q1 FY26 Earnings Conference Call.
As a reminder, all participant s' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R. Venkataraman – Managing Director , IIFL Capital Services. Thank you, and over to you, sir.
R. Venkataraman: Thank you and good afternoon, everyone. Welcome to the Q1 FY26 Analyst Call of IIFL Capital. I am accompanied with Ronak Gandhi, who is our CFO.
India's macroeconomic outlook remains strong, which is supported by easing inflation, which has resulted in a lower interest rate scenario, healthy monsoon, and benign oil prices. Our economy is showing signs of improving consumption once the interest rate benefits start trickling down.
As you might be aware, we have two broad segments – Institutional Equities and Investment Banking and the Legacy Retail Broking Segment. We are trying and transforming our retail broking segment into a full wealth management and financial planning practice. We believe that we are well -placed to succeed in this transformation given the fact that we have a suitable networth, we have a pan-India distribution reach, a critical mass of customers, technology as well as research credentials.
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Revenue for the quarter consolidated was Rs.680 crores, up 19% quarter -on-quarter, up 6% year -on-year.
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Retail brokerage also increased 15%. Distribution income, which is financial product distribution income, has decreased 24% because of the insurance effect, which sees a spike in the last quarter of year because of March effect.

Other income has increased 73%, Rs.63 crores in this quarter versus Rs.36 crores in the previous quarter. That is mainly due to mark-to -market on investments, especially the BSE shares which we have.
Employee costs increased from Rs.163 crores to Rs.176 crores in the 1st Quarter of FY26, mainly because of increase in headcount and some provisions for variable pay.
Depreciation has increased marginally. Fees and commission income on expense side has increased 24% because of payouts.
Admin expenses increased marginally by 7% from Rs.80 crores to Rs.86 crores. As a result, PAT has increased 37% from Rs.128 crores in the previous quarter to Rs.176 crores in this quarter.
Coming to "Year -on-Year Analysis :
We have seen a virtual flat impact on institutional and banking income, which is virtually flat from Q1 of FY25 to Q1 of FY26.
Retail brokerage has declined 28% and that is mainly because of regulatory changes that came into effect in December 2024 and that is primarily to do with the reduction in the number of expiry dates.
Distribution income :
FPD distribution income has increased 37% to Rs.145 crores in this quarter, basically because of increased focus on asset gathering.
Other income has increased dramatically from virtually Rs. 4 crores to Rs. 63 crores, again because of mark -to-market gains in investment, especially BSE shares.
Employee costs have increased 36% from Rs. 130 crores to Rs. 176 crores, basically due to an increase in headcount and because of wealth build -up. As you know that we have started building out a wealth franchise and have recruited wealth RMs.
Depreciation has increased 38% from Rs. 12 crores to Rs. 16 crores because of the increase in investme

nts in technology as well as office.
Fees and commission expenses have increased 5% from Rs. 128 crores to Rs. 134 crores.

Admin expense is flat, virtually in the same Rs. 83-86 crore s range and as a result PAT has fallen 4% from Rs.182 crores in 1st Quarter to Rs.176 crores in the current quarter.

“Some Housekeeping Numbers” :
Average daily turnover was Rs. 2,23,232 crores which was broken down into Rs. 2,20,263 crores in derivative and cash was Rs. 2,968 crores in this quarter which was in the previous Q4 FY25 was Rs.1,92,871 crores which was broken into Rs. 1,90,336 crores in derivative and cash was Rs. 2,535 crores. And if you remember the 1st Quarter of FY25, which was a bumper quarter which was Rs.3,22,782 crores broken into derivatives of Rs. 3,19,455 crores and cash of Rs. 3,327 crores which was down almost 30%. And as I mentione d earlier because of changes in this regulatory norms because of fall and decline in the number of expiry days we have.
Consequently, I think people ask about market share on a consol idated basis overall market share basis, we have taken the full ex tended denominator. We are at an F&O market share of 0.62% which is broadly in the same range and for cash market share it is 2.57% , which was in the previous quarter 2.51% and again that is broadly hovering around the same range.
So, with this I have come to the end of my comments, and we are open to answer any questions that you may have. Thank you so much.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Good afternoon, sir. How are you?
R. Venkataraman: All well, Prayesh. How are you?
Prayesh Jain: I am good, sir. S ir, just on this approach towards wealth management , right, so f irstly, can you tell us to how many RMs we have added and whether this is the quality of RMs would be like the ultra HNI RMs which would have average salaries of 50 lakhs and above , what are the kind of RMs that we have hired for the wealth management business?
R. Venkataraman: Okay. As I mentioned earlier also, we have broadly added about 50 RMs and they are a mix of both HNI, ultra H NI as well as mass afloat RMs. Broadly speaking, the salary range will be in the number which you have said and we have a higher proportion of H NI, ultra H NI RMs but the build -out is happening as we speak.
Prayesh Jain: Okay. Sir, as this kind of scales up, would you segment your customers into two different buckets and the wealth management would be reported separately with respect to clients, AUM base, everything, h ow would the business shape up from here on ?

R. Venkataraman: As you rightly pointed out and you are rightly articulating, we have to segment our customers because we have a large base of customers with less than 1 crore network and the segment which we are targeting will be say maybe in the 5 to 25, greater than 25 crores. So, we have to differentiate , but as we speak, the business is in a buil t-out phase and as business reaches a critical mass and we will be inclined to report and whatever feedback people like you who track markets closely give, we will listen and report accordingly.
Prayesh Jain: Sure. Sir, generally to scale up wealth management practices, you need people, you need products, and you need processes , right? People you are hiring, what are the kind of products that a re we getting into manufacturing of PMS, AIFs , and in terms of processes, how would be the approach, whether a figital approach or what kind of approach we will have in terms of processes as well?
R. Venkataraman: See, that is a very valid point you have made because it is a combination of all three products, process, people and so at this point in time

, the people part of it is being built out. On the process part of it, obviously, if you know, we have been doing working and distribution for a very long time. So, we belie ve that we have the necessary processes and technology in place . But having said that we have also recruited specialists for wealth because the entire business is more distribution and less broking and so we have invested in the necessary software as well as people for support for the operations part of it . And coming to products , as of now, we are depending a lot on our external manufacturers because the bulk of the new asset which we have gathered has come on the mutual fund side and the AIF and PMS we are distributing. But having said that, we are also trying to build our own manufacturing practice and if you remember we have a small AIF and PMS business which we have recruited people to scale it up. So, we will be manufacturing also . But having said that , we believe that manufacturing is one of the products we have and as a house, genetically and generically speaking, we are more open for open architecture model.
Prayesh Jain: Okay . And sir, my last question would be on how should we see your cost -to-income at least for this year and possibly as you build out wealth and your basic themes of investments on AIFs and PMS, should we think that the cost -to-income will be elevated this year and then only probably from next year onwards some benefits will start trickling down?
R. Venkataraman: So, if you look at our business, we have two broad segments ; one is institutional equities and

investment banking and the other is the legacy broking which we are transferring to wealth including the build out of wealth team. So, if you look at the new business which we call as for the transformation of the busines s which was the erstwhile retail, so we will see an elevated cost -to-income ratio for sure and I will just give you some broad numbers , in the sense that, so basically we will, as we speak, I think the broad cost -to-income ratio for the retail or the non -institutional side will be in the range of 75% and I think this year it will be elevated and we hope to see benefits of scale trickling in next year. So, this year we will be seeing elevated numbers.

Prayesh Jain: All right, sir. Wish you all the best. I will come back in the queue. Thanks.

R. Venkataraman: Thank you so much , Prayesh .

Moderator: The next question comes from the line of Chetan from Mahindra Mutual Fund. Please go ahead.

Chetan : Yes. I just wanted to understand the revenue breakup. So, we have Rs.617 crores of revenue this quarter , out of which our retail, institutional broking and the financial product distribution is roughly Rs.483 crores. So, this other segment that remains is Rs.134 crores I think roughly. So, what all is included in this and I think this segment has declined for us on YoY basis. So, can you explain that because if I see the rest of the segments are doing well but still revenue trajectory compared to th e first half of last year is a decline ?

R. Venkataraman: I think there is a big component of interest income which is broadly about 100 crores. And that has been the same because previous year quarter also it was in the same ballpark number. I do not have the exact numbers in front of me but they were in the Rs. 100 crore s range interest income is there.

Chetan: Okay. And s ir, secondly, this wealth management business that we are building out, so what sort of say the winning contribution has started coming in from specifically this new wealth business that we are building in and what sort of costs are associated directly with this , so, if you can quantify both the revenue and the cost on that ?

R. Venkataraman: So, I will give you just broad numbers. So, revenues have started coming in. So, if you see, I will give you some broad estimates because

last year we had a revenue of roughly about Rs. 40 crores and cost was about Rs. 70 crores. So, we had a hit of about Rs. 30 crores and this quarter we have made revenues of about Rs. 28 crores and the cost data I do not have right now because we look at this on a full year basis.

Chetan: Okay. Sir, you said Rs. 40 crores and Rs.70 crores that is for the previous quarter, 1st Quarter or for the full year?

R. Venkataraman: Yes, full year. .

Chetan: Okay. Got it.

R. Venkataraman: Thank you.

Moderator: Thank you. The next question comes from the line of Keshav from White Pine Investment. Please go ahead.

Keshav : Yes. So, my first question is how many new RMs you have added this quarter in wealth management and what is the strategy of building the wealth management going forward? And my second question is could you please provide the breakup of investment banking reve nue and institutional equities revenue?

R. Venkataraman: I do not have quarter -on-quarter exact addition of the people but we are broadly at about 50 RMs as we speak and we hope to increase this and if not double then definitely see 50% to 60 % increase in the number of RMs in this space for the full year . And coming to institutional, see , we have roughly about Rs.200 crores of investment banking and institutional equities income and the rough numbers will be about Rs. 150 crores is brokerage and Rs. 50 crores is banking.

Keshav: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Aditya Bhatia from Electrum Capital. Please go ahead.

Aditya Bhatia : Yes. Hi. Thank you for the opportunity. So, number one is how should we see employee cost going up for the current year and can you please guide for how many more RMs that you are planning to add for the current year?

R. Venkataraman: See, as of now we have about 50. So, the 50 can go up to any number between 75, 1 00 in the full year. So, I do not have an exact number on that and I do not want to talk about precisely employee cost but it is better to look at the cost -to-income ratio. So, the cost -to-income ratio on a non -institutional business will be in the range of 75 %. There might be some elevation if the manpower addition is higher, but I think that is a broad range.

Aditya Bhatia: Okay. And do we have any internal targets for how the distribution AUM is going? So, we crossed 35,700 crores as of this quarter. In FY 27, 28 -

R. Venkataraman: Yes. Actually, I have a number but unfortunately, I can not make any forward -looking statements but that is one segment which is I think a focus area. So, we are roughly at about Rs. 35,700 crores and

that is the number which we are targeting to grow.
Aditya Bhatia: Sure. And can you talk about how your deal pipeline is shaping up for Q2 and for the rest of the year?
R. Venkataraman: Yes. So, investment banking pipeline is quite strong and if you remember 1st Quarter of this year, which is Q4 FY 25 was a lackluster quarter. So, now, when the market has revived , it picked up. Maybe given the current volatility, deal pipeline might again witness some slowdown. For the full year, I am quite optimistic about our deal pipeline and closure.

Aditya Bhatia: Sure. Okay. And finally, can you speak a little on your insurance business?
R. Venkataraman: I will just give you some numbers. So, if you see, we do both life and non-life and total premium collected for this first year for Q1 was about Rs. 10 crores, which for the previous quarter was Rs. 23 crores and 1st Quarter of FY25 was Rs. 14 crores. So, there has been some dip in this and for general insurance was also in the rough range of Rs. 30 crores. Apart from these two insurance s, we also have investment in Liv long, which is like a wellness and affiliate business and that business is a lso doing well.

I do not have the exact figure right in front of me. So, these are the three components of our insurance business.
Aditya Bhatia: Sure. And in your next presentations , would you be more open to do a more segmented split of the revenue mix, especially when it comes to IE /IB?
R. Venkataraman: No, see, IE /IB, the numbers we have given. So, we have been disclosing IE /IB numbers. So, I will do one thing. Prayesh also raised some issues of disclosure. Maybe I will take feedback from all of you and then decide what to show. Only point is that our retail business is going through a transformation. So, once it reaches scale, then maybe we can show some meaningful numbers.
Aditya Bhatia: Okay. And is there any guidance for the rest of the year for FY26?
R. Venkataraman: No, unfortunately, we have not given any guidance. I am sorry.
Aditya Bhatia: Okay. All right. That will be all. Thank you.
R. Venkataraman: So, actually, thank you so much for giving us a patient hearing a nd please feel free to reach out to us if you have any other questions or if you want any other data a nd we look forward to interacting with you so that our disclosures improve. Thank you so much and all of you have a nice day. Thank you.
Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Aug 2025

August 04, 2025

Dear Sir/Madam,

Sub: - Earnings conference call transcript

Please ■nd attached herewith a transcript of the earnings call held on Tuesday, July 29, 2025. The same is available on the website of the Company and can be accessed at the following link:

https://■les.ii■capital.com/assets/Q1_FY_26_Earning_Call_Transcript_912c3b681d.pdf

Kindly take the same on record and oblige.

Thanking you,

Yours faithfully,

For IIFL Capital Services Limited
(Formerly IIFL Securities Limited)

Meghal Shah
Company Secretary

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Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
NSE Symbol: IIFLCAPS

“IIFL Capital Services Limited Q1 FY'26 Earnings
Conference Call”

July 29, 2025

MANAGEMENT : MR. R. VENKATARAMAN – MANAGING DIRECTOR, IIFL
CAPITAL SERVICES LIMITED
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER, IIFL
CAPITAL SERVICES LIMITED

IIFL Capital Services Limited
July 29, 2025

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I now hand the conference over to Mr. R. Venkataraman – Managing Director, IIFL Capital Services. Thank you, and over to you, sir.
R. Venkataraman: Thank you and good afternoon, everyone. Welcome to the Q1 FY26 Analyst Call of IIFL Capital. I am accompanied with Ronak Gandhi, who is our CFO.
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Revenue for the quarter consolidated was Rs.680 crores, up 19% quarter-on-quarter, up 6% year-on-year.
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Institutional and investment banking revenue virtually doubled from previous quarter, which is Q4 FY25 versus 1st Quarter of FY26.
Retail brokerage also increased 15%. Distribution income, which is financial product distribution income, has decreased 24% because of the insurance effect, which sees a spike in the last quarter of year because of March effect.
IIFL Capital Services Limited
July 29, 2025

Other income has increased 73%, Rs.63 crores in this quarter versus Rs.36 crores in the previous quarter. That is mainly due to mark-to-market on investments, especially the BSE shares which we have.
Employee costs increased from Rs.163 crores to Rs.176 crores in the 1st Quarter of FY26, mainly because of increase in headcount and some provisions for variable pay.
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IIFL Capital Services Limited
July 29, 2025

"Some Housekeeping Numbers":
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Consequently, I think people ask about market share on a consolidated basis overall market share basis, we have taken the full extended denominator. We are at an F&O market share of 0.62% which is broadly in the same range and for cash market share it is 2.57%, which was in the previous quarter 2.51% and again that is broadly hovering around the same range.
So, with this I have come to the end of my comments, and we are open to answer any questions that you may have. Thank you so much.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Good afternoon, sir. How are you?
R. Venkataraman: All well, Prayesh. How are you?
Prayesh Jain: I am good, sir. Sir, just on this approach towards wealth management, right, so firstly, can you tell us to how many RMs we have added and whether this is the quality of RMs would be like the ultra HNI RMs which would have average salaries of 50 lakhs and above, what are the kind of RMs that we have hired for the wealth management business?
R. Venkataraman: Okay. As I mentioned earlier also, we have broadly added about 50 RMs and they are a mix of both HNI, ultra HNI as well as mass afloat RMs. Broadly speaking, the salary range will be in the number which you have said and we have a higher proportion of HNI, ultra HNI RMs but the build-out is happening as we speak.
Prayesh Jain: Okay. Sir, as this kind of scales up, would you segment your customers into two different buckets and the wealth management would be reported separately with respect to clients, AUM base, everything, how would the business shape up from here on?

R. Venkataraman: As you rightly pointed out and you are rightly articulating, we have to segment our customers because we have a large base of customers with less than 1 crore network and the segment which we are targeting will be say maybe in the 5 to 25, greater than 25 crores. So, we have to differentiate, but as we speak, the business is in a built-out phase and as business reaches a critical mass and we will be inclined to report and whatever feedback people like you who track markets closely give, we will listen and report accordingly.
Prayesh Jain: Sure. Sir, generally to scale up wealth management practices, you need people, you need products, and you need processes, right? People you are hiring, what are the kind of products that are we getting into manufacturing of PMS, AIFs, and in terms of processes, how would be the approach, whether a figital approach or what kind of approach we will have in terms of processes as well?
R. Venkataraman: See, that is a very valid point you have made because it is a combination of all three products, process, people and so at this point in time, the people part of it is being built out. On the process part of it, obviously, if you know, we have been doing working and

distribution for a very long time. So, we
believe that we have the necessary processes and technology in place. But having said that we have also recruited specialists for wealth because the entire business is more distribution and less broking and so we have invested in the necessary software as well as people for support for the operations part of it. And coming to products, as of now, we are depending a lot on our external manufacturers because the bulk of the new asset which we have gathered has come on the mutual fund side and the AIF and PMS we are distributing. But having said that, we are also trying to build our own manufacturing practice and if you remember we have a small AIF and PMS business which we have recruited people to scale it up. So, we will be manufacturing also. But having said that, we believe that manufacturing is one of the products we have and as a house, genetically and generically speaking, we are more open for open architecture model.
Prayesh Jain: Okay. And sir, my last question would be on how should we see your cost-to-income at least for this year and possibly as you build out wealth and your basic themes of investments on AIFs and PMS, should we think that the cost-to-income will be elevated this year and then only probably from next year onwards some benefits will start trickling down?
R. Venkataraman: So, if you look at our business, we have two broad segments; one is institutional equities and investment banking and the other is the legacy broking which we are transferring to wealth including the build out of wealth team. So, if you look at the new business which we call as for the

transformation of the business which was the erstwhile retail, so we will see an elevated cost-to-income ratio for sure and I will just give you some broad numbers, in the sense that, so basically we will, as we speak, I think the broad cost-to-income ratio for the retail or the non-institutional side will be in the range of 75% and I think this year it will be elevated and we hope to see benefits of scale trickling in next year. So, this year we will be seeing elevated numbers.

Prayesh Jain: All right, sir. Wish you all the best. I will come back in the queue. Thanks.
R. Venkataraman: Thank you so much, Prayesh.
Moderator: The next question comes from the line of Chetan from Mahindra Mutual Fund. Please go ahead.
Chetan: Yes. I just wanted to understand the revenue breakup. So, we have Rs.617 crores of revenue this quarter, out of which our retail, institutional broking and the financial product distribution is roughly Rs.483 crores. So, this other segment that remains is Rs.134 crores I think roughly. So, what all is included in this and I think this segment has declined for us on YoY basis. So, can you explain that because if I see the rest of the segments are doing well but still revenue trajectory compared to the first half of last year is a decline?
R. Venkataraman: I think there is a big component of interest income which is broadly about 100 crores. And that has been the same because previous year quarter also it was in the same ballpark number. I do not have the exact numbers in front of me but they were in the Rs.100 crores range interest income is there.
Chetan: Okay. And sir, secondly, this wealth management business that we are building out, so what sort of say the winning contribution has started coming in from specifically this new wealth business that we are building in and what sort of costs are associated directly with this, so, if you can quantify both the revenue and the cost on that?
R. Venkataraman: So, I will give you just broad numbers. So, revenues have started coming in. So, if you see, I will give you some broad estimates because last year we had a revenue of roughly about Rs.40 crores and cost was about Rs.70 crores. So, we had a hit of about Rs.30 crores and this quarter we have made rev

enues of about Rs.8 crores and the cost data I do not have right now because we look at this on a full year basis.
Chetan: Okay. Sir, you said Rs.40 crores and Rs.70 crores that is for the previous quarter, 1st Quarter or for the full year?
R. Venkataraman: Yes, full year..
Chetan: Okay. Got it.
R. Venkataraman: Thank you.
Moderator: Thank you. The next question comes from the line of Keshav from White Pine Investment. Please go ahead.

Keshav: Yes. So, my first question is how many new RMs you have added this quarter in wealth management and what is the strategy of building the wealth management going forward? And my second question is could you please provide the breakup of investment banking revenue and institutional equities revenue?
R. Venkataraman: I do not have quarter-on-quarter exact addition of the people but we are broadly at about 50 RMs as we speak and we hope to increase this and if not double then definitely see 50% to 60% increase in the number of RMs in this space for the full year. And coming to institutional, see, we have roughly about Rs.200 crores of investment banking and institutional equities income and the rough numbers will be about Rs.150 crores is brokerage and Rs.50 crores is banking.
Keshav: Okay. Thank you.
Moderator: Thank you. The next question comes from the line of Aditya Bhatia from Electrum Capital. Please go ahead.
Aditya Bhatia: Yes. Hi. Thank you for the opportunity. So, number one is how should we see employee cost going up for the current year and can you please guide for how many more RMs that you are planning to add for the current year?
R. Venkataraman: See, as of now we have about 50. So, the 50 can go up to any number between 75, 100 in the full year. So, I do not have an exact number on that and I do not want to talk about precisely employee cost but it is better to look at the cost-to-income ratio. So, the cost-to-income ratio on a non-institutional business will be in the range of 75%. There might be some elevation if the manpower addition is higher, but I think that is a broad range.
Aditya Bhatia: Okay. And do we have any internal targets for how the distribution AUM is going? So, we crossed 35,700 crores as of this quarter. In FY27, 28 -
R. Venkataraman: Yes. Actually, I have a number but unfortunately, I cannot make any forward-looking statements but that is one segment which is I think a focus area. So, we are roughly at about Rs.35,700 crores and that is the number which we are targeting to grow.
Aditya Bhatia: Sure. And can you talk about how your deal pipeline is shaping up for Q2 and for the rest of the year?

R. Venkataraman: Yes. So, investment banking pipeline is quite strong and if you remember 1st Quarter of this year, which is Q4 FY25 was a lackluster quarter. So, now, when the market has revived, it picked up. Maybe given the current volatility, deal pipeline might again witness some slowdown. For the full year, I am quite optimistic about our deal pipeline and closure.

Aditya Bhatia: Sure. Okay. And finally, can you speak a little on your insurance business?

R. Venkataraman: I will just give you some numbers. So, if you see, we do both life and non-life and total premium collected for this first year for Q1 was about Rs.10 crores, which for the previous quarter was Rs.23 crores and 1st Quarter of FY25 was Rs.14 crores. So, there has been some dip in this and for general insurance was also in the rough range of Rs.30 crores. Apart from these two insurances, we also have investment in Livlong, which is like a wellness and affiliate business and that business is also doing well. I do not have the exact figure right in front of me. So, these are the three components of our insurance business.

Aditya Bhatia: Sure. And in your next presentations, would you be more open to do a more segmented split of the revenue mix, especially when it comes to IE/IB?

R. Venkataraman: No, see, IE/IB, the numbers we have given. So, we have been disclosing IE/IB numbers. So, I will do one thing. Prayesh also raised some issues of disclosure. Maybe I will take feedback from all of you and then decide what to show. Only point is that our retail business is going through a transformation. So, once it reaches scale, then maybe we can show some meaningful numbers.

Aditya Bhatia: Okay. And is there any guidance for the rest of the year for FY26?

R. Venkataraman: No, unfortunately, we have not given any guidance. I am sorry.

Aditya Bhatia: Okay. All right. That will be all. Thank you.

R. Venkataraman: So, actually, thank you so much for giving us a patient hearing and please feel free to reach out to us if you have any other questions or if you want any other data and we look forward to interacting with you so that our disclosures improve. Thank you so much and all of you have a nice day. Thank you.

Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2025

November 14, 2025

Dear Sir/Madam,

Sub: - Earnings conference call transcript

Please ■nd attached herewith a transcript of the earnings call held on Monday, November 10, 2025.
The same is available on the website of the Company and can be accessed at the following link:

https://■les.ii■capital.com/assets/Transcript_4b07b140a8.pdf

Kindly take the same on record and oblige.

Thanking you,

Yours faithfully,

For IIFL Capital Services Limited
(Formerly IIFL Securities Limited)

Meghal Shah
Company Secretary

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Fax No.: 26598237/ 26598238
NSE Symbol: IIFLCAPS

"IIFL Capital Services Limited Q2 FY'26
Earnings Conference Call"

November 10, 2025

MANAGEMENT : MR. R. VENKATARAMAN – MANAGING DIRECTOR,
IIFL CAPITAL SERVICES LIMITED
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER,
IIFL CAPITAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the IIFL Capital Services Limited Q2 FY'26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to the Management for opening remarks. Thank you, and over to you, sir.
R. Venkataraman: Thank you. Good afternoon and welcome to the Second Quarter FY'26 Analyst Call of IIFL Capital. I am R. Venkataraman, I am the Managing Director and along with me is Ronak Gandhi, who is our CFO.
First and foremost, India's economy has continued to demonstrate resilience and strength, in spite of facing global trade tensions and higher tariffs imposed by USA. Fortunately, GST reforms, festive season spending and incipient revival in both manufacturing services have supported steady economic growth.
Looking ahead, we think second half for FY'26 will be better and that is supported by policy stability, demand growth, lower GST rates, spurring consumption and also a benign liquidity environment.
Coming to our Results:
Consolidated revenue from operations for the quarter stood at Rs. 592 crores, down 4% quarter-on-quarter and 8% year-on-year.
Coming to quarter-on-quarter basis, Retail Equities was at about Rs. 271 crores for this quarter versus Rs. 264 crores for the Q1 FY'26, which is up marginally 3%.
Institutional income, which comprises both Broking and Investment Banking, has decreased 9% and it is now standing at Rs. 186 crores versus about Rs. 204 crores for the previous quarter. A financial product distribution income has decreased 10%. It is now at Rs. 130 crores versus Rs. 145 crores for the previous quarter and that is because of certain transaction income, which was lower in this quarter.
There is a hit on our MTM investment and that is primarily because of price reduction on the BSE shares, which materialized in the previous quarter. Employee cost has decreased from Rs. 176 crores to Rs. 154 crores in this quarter, basically, because of lower provision for variable pay in this quarter.

Depreciation has decreased marginally by 7%. Fees and commission decreased at 12% to Rs. 119 crores versus Rs. 134 crores in the previous quarter, which is in line with the revenue trends. Admin expense was flat at Rs. 87 crores. Operational PBT, which is before other income and MTM income is at about Rs. 164 crores, which is flat on a quarter-on-quarter basis.
Coming to year-on-year basis:
Retail Equities income was Rs. 271 crores in Q2 FY'26 versus Rs. 356 crores in Q2 FY'25, a decline of 24% and this decline is primarily on account of the new regulatory norms on F&O trading.
Institutional income, which has increased 5%, Rs. 186 crores versus Rs. 177 crores in the same quarter last year. FPD income has increased 22%, Rs. 130 crores versus Rs. 106 crores because of increased focus on distribution products and income.
Employee cost increased 3%, Rs. 149 crores to Rs. 154 crores and then depreciation has increased 13% from Rs. 13 crores to Rs. 15 crores. Fees and commission expense has decreased 17% from Rs. 142 crores to Rs. 119 crores again in line with the revenues, admin expense was flat. Operating PBT is at Rs. 164 crores before MTM and that is a decline of almost 20% year-on-year basis.
Coming to some housekeeping numbers:

Our average daily turnover was Rs. 2,63,568 crores, which is a split of F&O at Rs. 2,60,956
crores and cash was Rs. 2,612 crores approximately in the quarter that went by; compared to Rs.
2,23,232 crores of which F&O was Rs.

2,20,263 crores and cash was about Rs. 2,968 crores.
And basically, there was an increase in average daily turnover in Q2 versus Q1 and that was primarily because of increase in F&O. If you compare with the quarter last year, same quarter last year, FY'25, that quarter we had a turnover of Rs. 3,32,186 crores, which was about Rs. 3,28,736 crores in F&O and Rs. 3,450 crores in cash, which was a decline of almost 21%
Our market share, if you consider overall market share, that is basically unchanged at about 0.64%, which is about cash market of about 2.52% to 2.55% and F&O was about 0.62% to 0.64%.
But the good news is that if you remove non-Prop, because we believe that a large segment of Prop, which is not addressed by us, then non-Prop market share, we have seen an increase in both F&O as well as cash.
Now, cash is about 3.87% and F&O is about 2.65%. The other number is about our cross-sell assets, because we have seen growth in our cross-sell assets. Currently, cross-sell assets stand

at about Rs. 44,000 crores, which is 60% is ARR and 40% is non-ARR. ARR assets is mutual fund, PMS and AI, which is now standing at about Rs. 27,000 crores.
With this, we are open for any questions that you may have. Thank you so much.
Moderator: Thank you very much. Ladies and gentlemen, we will now begin with the question-and-answer session. Our first question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Hi, good afternoon, sir. Sir, first question is on this SEBI consultation paper that spoke about brokerages going down from 12 bps to 2 bps and obviously, there has been some media talks around at that the regulator might consider increasing that lower limit of 2 basis points. But either way what could be impact that we could see on our earnings because of that?
R. Venkataraman: See, if you look at this, this decision paper is yet to become law. But as you said there has been media reports that 2 basis points might also see some increase. So in the institutional segment, a bulk of our brokerage comes from foreign institutional investors and where the capping is not applicable. Mutual funds, however, are still a significant player on this.
So, if there is a reduction in the brokerage charge, then there will be an impact on our income. But at this point in time, it is very difficult to ascertain exactly what will be the impact. But for sure, if the brokerage falls and there is a cap, then there will be an impact.
Prayesh Jain: Can you share some insight into what is the share of revenues of domestic mutual funds in your Institutional Equities revenue?
R. Venkataraman: Unfortunately, I am not able to share that details with you.
Prayesh Jain: Sure, sir, no worries. Sir, the other question was on the distribution income that has seen a sequential drop, ideally in this quarter, unless it is insurance related, which could have possibly impacted by GST sales. But financial product distribution revenue sequentially has gone down.
R. Venkataraman: Yes, sequentially income has gone down by almost 10%. We had some NCD issuance in the previous quarter and other such products where we had some upfront income. That is the reason for this decline.
Prayesh Jain: Okay. And sir, how is the wealth management business shaping up? How many RMs have you hired so far?
R. Venkataraman: See, actually, to be honest, I think last time also, the same question was asked. So, as of now, we are roughly about 50 RMs - 55 RMs in that range. This quarter, we have not seen a significant increase in the RMs, but it is virtually flat. And the business is shaping up well and we are seeing some assets coming, relationships happening.

And so, as of now, if you ask me, I am happy with the state of the progress of the wealth business.

And additionally, what is also happening is that as a rub-off effect, our own existing 450 RMs which are there, Broking business have also started slowly upgrading and focusing on getting more cross-sell assets. And that is evident in the fact that our cross-sell assets are growing and have reached about Rs. 44,000 crores.
Prayesh Jain: Sir, how many RMs are there on your retail business and how many of them are worth upgrading to a wealth RM?
R. Venkataraman: See, we have about 450 RMs in that and we hope that a bulk of them will get upgraded.
Prayesh Jain: Okay. And sir, these 50 RMs - 55 RMs that you added, these would be like RMs of high caliber

and income and that is salary levels upwards of Rs. 50 lakhs or it is more in that Rs. 15 lakh to 20 lakh range for RMs?

R. Venkataraman: These will be the affluent and HNI RMs, so therefore, their salaries will be higher.

Prayesh Jain: Okay. Got that. Any data that you want to share with respect to apart from the AUM data that you mentioned, any number of families, incremental number of families that you have been able to onboard in this first half?

R. Venkataraman: Actually, once this business scales up, maybe after two quarters – three quarters, we will share more details.

Prayesh Jain: Got that. And sir, last question on the Broking business. We have seen a very strong uptick in volumes in October and all these talks about regulations on the F&O side have mellowed down both by the FM as well as the government.

Do you think that the run rate what you have seen in October can be sustained going ahead and if there are no further or any major regulations, how should we kind of see, I know it is a crystal ball gazing. But any thoughts of yours would be helpful to.

R. Venkataraman: Exactly. You rightly pointed out it is a crystal ball gazing. So, as of now, there is no clarity about what will happen. Although, like you said, we are getting different signals from the regulators and the powers to be. But having said that, I think one should not look at on a quarter-on-quarter basis on etc because India is still an under-precedented market.

So, we think that as the Indian economy goes from 4 trillion to maybe 6 trillion, 8 trillion in the next 10 years - 15 years, so there will be a secular increase in equities volumes. So, if you have a long term perspective, then the trend is clearly upward sloping.

Prayesh Jain: Sorry, sir. Just one last question. Any break up of revenue between F&O and cash that you can share on the Broking side?

R. Venkataraman: So, I think Broking business, roughly it is about 60 - 40. It will be broadly in the 60 - 40 range. 60 F&O and 40 cash.

Prayesh Jain: Thank you so much, sir.

R. Venkataraman: Thank you.

Moderator: Thank you, sir. Our next question comes from the line of Harsh Shah from HSBC AMC. Please go ahead.

Harsh Shah: Yes. Hey, hi. Thanks for the opportunity. Just a few questions. One, carrying forward from Prayesh's question on wealth management. So, from a business perspective, if you look at our existing business, in this first half, we have done around Rs. 1,200 crore of revenue.

Again, not trying to understand anything from a quarter to quarter perspective. But over let us say next two years or three years, what is the contribution you think that our distribution or wealth management business can do to our overall IIFL Capital as it stands now?

R. Venkataraman: See, we hope that over the next maybe two years to three years, this business will become profitable. As of now, we have to continue to invest and build this up. So, it will be a big crystal glazing path on my part to give an exact number.

But we think we are quite optimistic, because we think that asset gathering and getting ARR revenue is the way to go. And as I mentioned to you earlier also, our focus is to get assets. So, we are at about Rs. 44,000 cr

ores of assets, out of which Rs. 27,000 crores of assets is mutual fund, AF and PMS. And our aim is to grow that component.

Harsh Shah: What proportion of this Rs. 44,000 crore incrementally has been onboarded by the new team that you hired in the last one or two years?

R. Venkataraman: So, on an incremental basis, difficult to say which because what has happened is that after the new team has joined, both existing team and the new team have been focused on getting ARR assets. So, it is a combination of effects of both. And as I told Prayesh also earlier, once the business scales up, then we will be sharing more details on.

Harsh Shah: Understood. And in the retail business, I just have one or two data questions. Retail business that you have reported, what is the break up in retail Broking and the interest income that you earn on the M2F book?

R. Venkataraman: So, our M2F book is roughly about Rs. 1,500 crores and how much is interest?

Ronak Gandhi: That break-up we have already given. You can see that break up in Page 16

R. Venkataraman: One second, I will just tell you.

Harsh Shah: Okay. So, the Rs. 105 crore will be the interest income and I think, Rs. 160 crore will be the retail Broking, is it correct?

R. Venkataraman: Net-net that is correct.

Harsh Shah: Yes. Okay, so that is one part. And just last thing is from me is I understand that this is a long gestation period. We have seen this with other wealth companies also. Once they start making money, they make a lot of money.
But just to understand current context, how much investment that you have done in this new wealth business, in this financial year?
R. Venkataraman: In this financial, if you look at investment, basically, manpower cost is the biggest investment. So, as of now, last year we incurred, we made a loss of about Rs. 20 crores - Rs. 24 crores. And this year for the first half, we would have lost about Rs. 20 crores - Rs. 25 crores.
Harsh Shah: Understood. Okay, so you have intensified investments in this year?
R. Venkataraman: Yes, because what, recruiting RM is becoming a big challenge because of competitive pressure. So, we are being prudent.
Harsh Shah: Understood. Okay, yes, that is it from my end. Thank you and all the best.
R. Venkataraman: Thank you so much.
Moderator: Thank you. Our next question comes from the line of Aditya Bhatia from Electrum Capital. Please go ahead.
Aditya Bhatia: Hi, thank you for the opportunity. Could I just get the split between the IE and IB revenues?
R. Venkataraman: So, on the total institutional income, which is about Rs. 186 crores. So, it will be roughly about, I think it is like one second.
Aditya Bhatia: Is it still 60 - 40?
R. Venkataraman: It will be, I think 60 - 40 is correct.
Aditya Bhatia: Okay.
R. Venkataraman: But one second, having said that, I want to give you a caveat, because in some quarters, if there are a lot of large number of deals that get closed, then the IB component might increase. But broadly, what you say is correct.

Aditya Bhatia: Okay, understood. And yes, I see that you have not added any RMs this quarter, but any plans for the rest of the year for H2?
R. Venkataraman: See, as I mentioned earlier, what is happening is that there is a huge competitive intensity in the recruitment of RMs. So, basically, as a part of our prudent strategy, we decided that it is better to upgrade our existing RMs train them and empower them instead of going out and acquiring RMs at any cost. So, we are being prudent.
Aditya Bhatia: Okay, understood. And would that be a better cost efficiency in the long term?
R. Venkataraman: Yes.
Aditya Bhatia: Okay, understood. Okay. That is all from me. Thank you.
R. Venkataraman: Thank you.
Moderator: Thank you, sir. Our next question comes from the line of Prayesh Jain from Motil

al Oswal.
Please go ahead.
Prayesh Jain: Yes, thank you for the follow up again. So, just extending this wealth management as a strategy in a long term strategy, you rightly mentioned about the competition intensity in the RM hiring.
How would you position yourself?
How would you position yourself in terms of whether expanding into the top 10 cities or look at it because IIFL as a brand has a very strong presence in lower tier cities as well. Do you think that will be a more of a prudent strategy to expand or more on the Tier II, Tier III cities? And what are your thoughts there?
R. Venkataraman: See, to be very honest, as you said that we have IIFL as a very strong brand when it comes to broking space. So, as of now, thanks to our broking business, we are present in a large number of towns and cities. So, whenever we have an existing broking presence, I think the best plan should be to upgrade ourselves and make sure that we enter the market there.
So, I think it is wrong on my part to say, no, we will be focusing only on Tier II, Tier III, but we are focusing on all the cities where IIFL is present.
Prayesh Jain: Okay. So, one question was on financial statements. Your mark-to-market investments was a Rs. 44 crore and of a negative in this quarter. This is pertaining to BSE shares or what it is pertaining to?
R. Venkataraman: It is pertaining to both BSE shares and NSE shares. We have bought some NSE shares for down selling. So, on that we have taken some risk.

Prayesh Jain: Okay. And you are still continue to hold them or?
R. Venkataraman: Yes, we continue to hold them.
Prayesh Jain: Continue to hold them. Okay. Got that. And, sir, any guidance in terms of how should we look

at your overall cost spanning out for FY'26 with regards to employee cost as well as the other
Opex?
R. Venkataraman: See, actually, my view is that hopefully from second half, as you pointed out earlier also, exchange volume is big. So, we should see some benefits in the cost to income ratio. But on the long term, our view is that this year we continue to invest in the wealth business. So, that is obviously affecting our cost to income ratio.
Prayesh Jain: Okay. And, sir, how much comfort does the balance sheet provide you to kind of scale up the margin trade funding book?
R. Venkataraman: See, as of now, our total net worth is about Rs. 2,800 crores. How much?
Ronak Gandhi: Rs. 2,800 crores.
R. Venkataraman: Rs. 2,800 crores, so that gives us, and our margin funding book is only Rs. 1,500 crores. So, we think that there is enough scope for us to do.
Ronak Gandhi: And that will increase based on the specific borrowing we do.
Prayesh Jain: Okay. So, your headroom is another Rs. 2,000-odd crores on the current balance sheet itself?
Ronak Gandhi: It will increase based on the specific borrowing. So, you can take 50% of the net worth and 50% from the specific borrowing. The more we do specific borrowing, we can increase this book.
Prayesh Jain: Got that.
R. Venkataraman: Prayesh, just to answer the question, I think another Rs. 1,000 crores can be added very easily.
Prayesh Jain: Got that. And, sir, there are some external managers that you mentioned in your presentation. Now, I am understanding these would be on the mutual fund distribution side and the business model that you are kind of building up.
R. Venkataraman: Yes. There will be both mutual fund distributor as well as sub broker network.
Prayesh Jain: Okay. What is the kind of sharing you do with these guys on the mutual fund distribution as well as Broking? Is it 70% or more than that?

R. Venkataraman: Prayesh, you know that business because it is a highly competitive market. So, we are aligned with the market and there will be significant sharing with the distributor.
Prayesh Jain: Got that. Thank you so

much, sir.
R. Venkataraman: Thank you so much.
Moderator: Thank you. Our next question comes from the line of Lalit Deo from Equirus Securities. Please go ahead.
Lalit Deo: Good afternoon, sir. Two questions. Firstly, on the distribution income. So, could you also just give us the split between recurring revenues and transactional revenues for this quarter as well as for 1H?
R. Venkataraman: So, if you look at it now, mostly what is happening is that, as I mentioned earlier, Rs. 44,000 crores means roughly 60 is ARR and 40 is non-ARR. So, income will also be broadly in the same range. Is that correct?
Ronak Gandhi: Yes.
Lalit Deo: Sure, sir. And, sir, just on this, on the Investment Banking piece. So, if we look at it, like, given that we have a strong IPO pipeline. So, I just wanted to understand how should one look at this overall Investment Banking revenue for this year as well as the next year, like, given the pipeline which we have?
R. Venkataraman: Basically, what is happening is that we are quite optimistic about the deal pipeline and there are various deals in the various stages of completion. So, I am quite optimistic. Although, it is very difficult for me to give an exact number that how much deal is done and how much is not done.
Moderator: Our next question comes from the line of Harsh Shah from HSBC AMC. Please go ahead.
Harsh Shah: Yes, just one thing on the wealth part. Last year, you were doing quite a bit of building also with respect to tech product. And this year, almost everything is built, right? You just need to train the RMs and then just go tell them to get clients and get the AUM, which is, of course, the most difficult part. But from a back end product and tech perspective, is everything ready?
R. Venkataraman: Yes, from the back-end perspective, I think we have done quite a lot of work. So, we have implemented wealth spectrum software. We have invested in a lot of reporting software. We have upgraded our training software to omni cell. So, we have done a lot of work. But the most difficult thing is going out and getting access.
Harsh Shah: Yes, okay. So, means from platform tech, everything is ready?

R. Venkataraman: I think platform tech, I would say, not everything, maybe 80% will be there.
Harsh Shah: Okay, good enough. Okay. Just one clarification. In the presentation, we have written M-to-M on investments and others as a Rs. 44 crore loss. But in the reported result, it is a Rs. 25 crore

loss. What is the difference in that?
R. Venkataraman: The difference is because of MTM loss in NSE shares.
Harsh Shah: Okay, that is it from my end. Yes, thank you.
R. Venkataraman: Thank you.
Moderator: Thank you, sir.
R. Venkataraman: So, thank you so much. And if you have any other further questions, please feel free to reach out to me or Ronak directly and we will be there to answer any questions that you may have.
Moderator: Thank you. As there are no further questions for the participant, I would like to hand the conference over to the management for the closing comments.
R. Venkataraman: So, thank you so much for joining us. And if you have any further questions, please feel free to reach out to us and we will be more than willing to answer. Thank you so much and have a nice day.
Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Feb 2026

February 17, 2026

Dear Sir/Madam,

Sub: - Earnings conference call transcript

Please ■nd attached herewith a transcript of the earnings call held on Wednesday, February 11, 2026.
The same is available on the website of the Company and can be accessed at the following link:

https://■les.ii■capital.com/assets/IIFL_Capital_Earnings_Feb11_2026_9565bda7e6.pdf

Kindly take the same on record and oblige.

Thanking you,

Yours faithfully,

For IIFL Capital Services Limited
(Formerly IIFL Securities Limited)

Meghal Shah
Company Secretary

Encl: As above The Manager,
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BSE Scrip Code: 542773 The Manager,
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Bandra - Kurla Complex,
Bandra (E), Mumbai 400 051
Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
NSE Symbol: IIFLCAPS

“IIFL Capital Services Limited Q3 FY '26
Earnings Conference Call”

February 11, 2026

MANAGEMENT : MR. R. VENKATARAMAN – MANAGING DIRECTOR ,
IIFL CAPITAL SERVICES LIMITED
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER ,
IIFL CAPITAL SERVICES LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to IIFL Capital Services Limited Q 3 FY '26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference i s being recorded.
I now hand the conference over to Mr. R. Venkataraman. Thank you, and over to you, sir .
R. Venkataraman: Thank you , and good afternoon, friends. Welcome to the Q3 FY '26 Analyst Call of IIFL Capital. I am joined in this call with Ronak Gandhi , who is our CFO.
Despite a challenging global environment, the Indian economy has remained resilient, demonstrating growth with historically low inflation, improving labor market indicator s, and strengthening external financial buffers. Coordinated fiscal, monetary, and structural policies have reinforced macroeconomic stability while supporting investment and consumption.
The Trump tariff deal and a fiscally prudent budget with CAPEX focus ensure stable macroeconomic environment with a positive bias. The RBI has also raised its real GDP growth projection to 7.4 %, signaling confidence in the durability of domestic demand. However, global trade uncertainties and commodities and financial market volatility may cloud the external outlook.
Coming to our results :
Consolidated operational revenues for the quarter stood at INR 586 crores, virtually flat on a quarter -on-quarter and in year -on-year basis.
Coming to details on a quarter -on-quarter basis :
Retail Broking income was INR 288 crores this quarter versus INR 271 crores in Q2 FY '26 , which is up 6%, mostly on line of increased volumes.
Institutional and investment banking revenues have decreased 14% to INR 160 crores, which was INR 186 crores in the previous quarter. The financial product distribution income was up by 3%, INR 134 crores versus INR 130 crores.
Now, coming to the expenses :
We have seen an increase in the employee cost to INR 175 crores in this quarter from INR 154 crores in the previous quarter due to variable pay provisioning and a one -time charge of INR 7 crores due to changes in labour laws.

Depreciation increased by 13% on account of investment in branches. Fees and commissioning expenses increased by 10% due to higher payouts, which is now standing at INR 130 crores. Admin expense was up 5% to INR 91 crores.
Operational profit before tax was INR 119 crores, down 27% on a quarter -on-quarter basis, primarily on account of increase of expenses. Other income was INR 135 crores, and this includes a gain of almost INR 90 crores on sale of real estate property held in I IFL facilities and also mark -to-market gains on BSE shares.
Coming to year -on-year basis :
Retail Equities volume was INR 288 crores this quarter versus INR 299 crores in the Q3 FY '2 5, which is down 3%.
Institutional and investment banking revenues decreased 6% , INR 160 crores this quarter versus INR 171 crores in Q3 FY '2 5. FPD income , Financial Products Distribution Income was INR 134 crores versus INR 107 crores, up 25% because of an increased focus on distribution income.
Again we have seen an increase in employee costs . Employee costs increased 17% to INR 175 crores this quarter versus almost INR 150 crores in Q3 FY '2 5 because of increase in headcount also apart from the variable pay provisions , which I spoke about earlier , and the INR 7 crore hit.
Depreciation increased 21% to INR 17 crores from INR 14 crores due to setup of new branches and investment in technology. Fees and commission s increased 10% to INR 130 crores because of higher pay

outs. Admin expense stood at INR 91 crores, almost 30% increase because of
increase in technology and branding and marketing costs.
Operational P BT was INR 119 crores before the mark -to-market which is down almost 3 6% on
year-on-year basis , as I mentioned again , because of increased expenses.
Coming to some housekeeping numbers :
Average daily turnover this quarter was INR 3,14,660 crores which was futures and options of
INR 3,11,976 crores and a cash of INR 2,685 crores which was in the previous quarter INR
2,63,568 crores. F&O was INR 2,60,956 crores and cash was INR 2,612 crores which is up 19%
and the same was INR 2,78,267 in Q3 FY '2 5. F&O was INR 2,75,520 crores and cash was INR
2,747 crores.
Now there are other inputs, other updates I want to share with you. First and foremost, there
have been media reports regarding some investments in the company. We constantly explor e
strategic and other opportunities to enhance shareholder value. If and when there is a
development that requires any disclosure in the SEBI's LODR regulations, we will make it.
Coming to income tax matters :

The Income Tax Departmen t, as you are aware of , had conducted a search under Section 132 in
January 2025. In the course of the proceedings, various matters examined in the holding
company and the subsidiaries. We have fully co -operated with the department by furnishing all
requisite information and evidences as sought from time to time as a prudential measure and
without prejudice to our rights and contentions, on a consolidated basis , we have paid an ad hoc
taxes of INR 27 crores approximately , and this ha s been accounted for this quarter as tax
expense, tax adjustment for prior years.
The post -search assessment proceedings are currently in progress , and we continue to extend
full co -operation. That, a s of now, there is no order, demand , notice at this point and hence
potential impact at this point is not ascertainable. We believe, after considering all available facts
and records, that there is no material adverse effect on the financial position of the group and no
material adjustments a re required to be made to the financial statements.
With this, I come to the end of my talk , and we are open to handle any questions that you may
have.
Moderator: Thank you very much , sir. We will now begin with a question -and-answer session. The first
question is from the line of Keshav Kanwa from White Pine Investment . Please go ahead.
Keshav Kanwa : How many RMs did you add this quarter? And also, my second question is that, when do you
think wealth management business will break even and become profitable ?
R. Venkataraman: To answer your second question first , we believe that we are continuing to invest in the wealth
management practice , and I hope that at this point in time we are loss making , but by next year
we should be closer to break even .
Second thing is about the RM. If you see , we have two channels , basically , wealth as well as the
private client group or the existing RM base . So, effectively , we have lost some RMs in the
existing PCG or the existing broking space , and we have added marginally . Because I think we
have added about 2-3 RMs this quarter in the wealth space .
And as I mentioned in the earlier call , this space is becoming increasingly competitive and
recruitment we have faced , I think everybody is facing recruitment challenges , and hence we are
going slow in the way we are recruiting . So, as we speak right now , we have about 470 RMs on
a combined wealth and the old Private Client Group.
Keshav Kanwa : My question was that by y ear end , like in FY '26, by year end, how many RMs do you see to
add?
R. Venkataraman: I think we will be adding maybe another 10 -15 RMs. Beyond that I don't think that will happen
in the next two months .
Moderator: The

next question is from the line of Aditya Bhatia from Electron Capital . Please go ahead .

Aditya Bhatia: Just a question regarding the distribution assets . For the last nine months , I ha ve been seeing that
the mix is increasing towards our TBR rather than the ARR, which we expect towards what the
management. So, just if your comments on that , that would be really helpful.
R. Venkataraman: No, actually , if you see that mix between TBR and ARR has been broadly in the 60 /40 range ,
and I think last quarter we have seen some increase in the fixed income space because of
increased allocation of fixed income like NCD s. So, we would hope that in the going ahead also
will be in the 60 to 40 range or maybe 65 /35. I think last quarter we have seen some increase in
TBR assets simply because of more NCD s and fixed income allocation .
Aditya Bhatia: So, 65/35 going forward .

R. Venkataraman: 60/40, 65/35. I think it is better if you take the 60-40.
Aditya Bhatia: 60/40, okay . And secondly , if you can give me the split between IE and IB income ?
R. Venkataraman: See, basically , last quarter , roughly , I think institutional was INR 100 crores no last quarter ?
Ronak Gandhi: Yes.
R. Venkataraman: The broking was about INR 100 crores in the INR 160 crores .
Aditya Bhatia: Yes, I was wondering also if you can tell me what is the yield that we are making on broking income for institution as well as retail ?
R. Venkataraman: I think the broking yields is like on the institutional business . I don't have this data upfront . So, maybe I will contact you offline and share that.
Aditya Bhatia: That's all from my end .
R. Venkataraman: If there are no more questions , I want to thank the participants . And Ronak and I are available to answer any questions you have . So, you can meet , you can connect offline also to discuss the same .
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of IIFL Capital Services Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: May 2026

May 11, 202 6

Dear Sir/Madam,

Sub: - Earnings conference call transcript

Please find attached herewith a transcript of the earnings call held on Tuesday , May 05, 202 6. The same is available on the website of the Company and can be accessed at the following link: https://files.iiflcapital.com/assets/IIFL_Earnings_May05_2026_revised_d644f3a6cb.pdf

Kindly take the same on record and oblige.

Thanking you,

Yours faithfully,

For IIFL Capital Services Limited
(Formerly IIFL Securities Limited)

Meghal Shah
Company Secretary

Encl: As above
The Manager,
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Fax No.: 26598237/ 26598238
NSE Symbol: IIFLCAPS

"IIFL Capital Services Limited
Q4 FY '2 6 Earnings Conference Call "
May 05, 202 6

MANAGEMENT : MR. R. VENKATARAMAN – MANAGING DIRECTOR –
IIFL CAPITAL SERVICES LIMITED
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER –
IIFL CAPITAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to IIFL Capital Services Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be on listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the Managing Director of IIFL Capital, R. Venkataraman. Thank you, and over to you, sir.

R. Venkataraman : Thank you. Good afternoon, and welcome to the Q4 FY '26 analyst call of IIFL Capital. I'm accompanied with my colleague, Ronak, who is our CFO. Recent geopolitical events have triggered a sharp rise in volatility, they have disrupted energy supplies. They have pushed oil prices above $100 and both these have directly impacted inflation and inflation expectations. This has resulted in increased volatility, especially in capital markets, and we saw record FPI outflows in the month of March, and the trend seem s to continue.

Despite these pressures, India shows relative resilience, and we have strong domestic flows, which cushioned the foreign selling. As we speak, growth outlook remains relatively strong. And I just want to give a caveat, as of now, we have to wait and watch for the monsoon progress to take the full year GDP growth estimates and calls. On a lighter note, the new definition of EBITDA seems to be earnings before Iran and Trump's daily announcement.

Coming to full year numbers. Our consolidated results for FY '26. Operational revenue for the full year stood at INR2,439 crores virtually flat, on a year -on-year basis. Retail revenues for the equity were INR1,121 crores, which is down 9% majorly due to t he impact of regulatory changes announced by SEBI, which came into effect in the first quarter of last calendar. And hence, we had the full year impact. Institutional and Investment Banking revenues have increased 11%, INR712 crores versus INR639 crores. Financial product distribution income has increased by 16%, which is now standing at almost INR590 crores, close to INR600 crores.

Employee cost, we have seen a steep increase in employee cost to INR687 crores, and that is basically a combination of both headcount, variable pay provisioning as well as a onetime charge of INR7 crores due to change in Labour Law . Our financ e cost has increased 17% to INR 210 crores because of increased working capital requirement and that is directly linked to the growth in our MTF book. Depreciation increased 20% on account of investment in branches and technology.

Our fees and commission expenses increased 8%. That is because of partner payout. Admin expenses were up 9% due to branding and technology. Operational PBT was down 22%, and that is basically -- primarily driven by increase in the employee expenses. Other income was about INR164 crores. That includes a gain of almost INR90 crores on account of sale of real estate, which was held in IIFL facility, a subsidiary of the holding company. We also saw MTM due to right movement in BSE shares.

Coming to quarter 4 FY '2 6 versus quarter 4 FY '2 5, this is a quarter -on-quarter -- year-on-year for the last quarter number. Operational revenues were INR644 crores versus INR537 crores, up 20%. Retail revenue was up 22% at INR298 crores. Institution and IB revenues was about

INR162 crores versus INR97 crores , and primarily because of both increase in investment banking as well as bro king income. FPD income was INR 182 crores, which is down 4% because last quarter in Q4 FY '2 5, we had increased brokerage due to certain transactions in NSE share. Employee costs increased 12% to INR183 crores, again, because

of headcount increase and variable pay increases. Finance costs increased 45%, a steep increase to INR63 crores because our MTF book increased. Depreciation was up 6% because of commissioning of a new branch , and again, technology costs have gone up. Fees and commission expenses are increased by 40% because of some record payout. And admin expenses was 8% increase, again, due to branding and marketing expenses.

Operational PBT before MTM changes have -- was up 14% in last -- on a year -end basis.

If you compare quarter -on-quarter, which is Q4 FY '2 6 versus Q3 FY '2 6, operational revenue was up 10%. Retail revenues was up 3%, which is virtually flat, including institutional broking was virtually flat at about INR162 crores, which is virtually unchanged. FPD increase was up 36% to INR182 crores.

Our employee cost was flat, roughly increase of 4%, 183 versus 175. Finance costs again increased 18% because of growth in MTF book and working capital requirement, flat depreciation, fees and commission expenses increased because of higher sub-broker payouts. Admin expense reduced to INR86 crores, and operational PBT again was up 21% on a quarter - on-quarter basis.

Now coming from some housekeeping numbers, average daily turnover for about INR3,22,886 crores, which is roughly INR3,20,0 11 crores in F&O and cash was INR2,875 crores and which was INR3,14,660 crores in Q3, again, a split of INR3,11,000 crores -- roughly INR3,12,000 crores in F&O, and cash was about INR2,685 crores. And which is basically 3% growth which is virtually flat.

We also -- as I mentioned earlier, we have also started getting into manufacturing. We launched -- we closed our capital credit opportunities fund. We raised about INR500 crores and this is basically a risk -adjusted higher kind of fund. Coming to income tax notices, I just wanted to give all of an heads up.

The income tax department conducted a search under Section 132 of the income tax act and certain – basically what had happened was, I think we've also -- from our own side because of the block assessment we had ad -hoc amount of INR27 crores approximately was paid in last quarter.

Now what has happened is that we have got a notice which for roughly -- for both IIFL management and IIFL facilities for roughly about INR56 crores combined for the block period from April 1, 2018 up to February 3, 2025. The respective companies are in the process of filing appeal against the same order. In case of the holding company, the assessment proceedings are still in progress, and we have not got any orders or demand notice till date.

We believe after considering all available facts and records and also consulting with our advisers, there won't be any material adverse impact on the financial position of the group. And hence, we have not made any adjustments. With this, I come to the end of my talk. Thank you so much, and we are open to answer any questions that you may have.

Moderator: First question is from the line of Keshav Karwa from White Pine Investments. Please go ahead.

Keshav Karwa : Thank you for the opportunity. I had 2, 3 questions. One is on the underlying growth for FPD AUM, which looks strong and what is driving this growth?

R. Venkataraman: See, we have seen a growth in our FPD assets because it was about INR 31,000 crores, and it has now become about INR 52,000 crores. And we have seen all -round growth, both in mutual fund and other assets also and including our fixed income assets. We have mutual fund assets have grown from INR 14,000 crores to about close to INR 21,000 crores. So I think basically all products, AI, PMS, mutual fund and also fixed income products have seen some growth.

Keshav Karwa : Okay, sir. Sir, my second question was, could you please provide how many RMs we have added this quarter and overall RM count is F Y '26? And incrementally

how many RMs do you plan on
adding for FY '27 and any AUM target for FY '27?

R. Venkataraman: See, we have currently about 50 wealth RMs, and we have about 300 odd that affluent or PCG broking RMs. Our focus is that we should increase the headcount for wealth RMs this year. I don't have a specific number in mind, but because last year had been a difficult year for recruitment.

But our aim is to add to our wealth, the cohort of wealth RMs. And coming to asset growth, I think we are close to about INR52,000 crores. And I don't have a number in mind, but we have to increase it.

Keshav Karwa : Okay. So my third was that we have seen a sequential decline in the MTF book. What led to the decline? And going forward, how are you planning to improve the book? Also, could you please provide me the breakup for institutional equities and investment bank ing revenues for this quarter?

R. Venkataraman: See, the -- okay, the basic for the broad reason for the decline of the MTF book is primarily because of the last quarter -- increased market volatility in the last quarter due to w hich MTF impact was also there.

And coming to your other question about institutional broking, investment banking, roughly, I'm giving you rough numbers. Roughly, this is about INR700 crores and out of whi ch roughly it will be about INR450 crores and INR 250 crores, split between broking and banking.

Keshav Karwa : Okay, sir. And sir, you are doing a fund raise...

R. Venkataraman: I'm giving broad app roximate. So there might be INR 10 crores here and there. But broadly...

Keshav Karwa : Okay, sir. Sir, so you are doing a fund raise ? So can you throw some light on your plans to use those funds?

R. Venkataraman: See, actually, at this point in time, I just want to say that as a company, the Board continuously evaluates opportunities to enhance shareholder value, whether it's in terms of potential acquisition, new projects and other such and combination. So at this point in time, I can't share more with you because there's no event that requires disclosure on the SEBI LODR regulations. As and when we have something very definitive, we will make all appropriate disclosures to the stock exchange as pe r regulatory guidelines.

Keshav Karwa : Okay, sir. Thank you so much.

R. Venkataraman: Thank you so much.

Moderator: Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain : So just there is this RBI regulations getting implemented from 1st of July, right? What do you see the impact of that on your broking business in any form? And also, if you could throw some light if not so much for us, how much -- what would be the kind of impact for the industry per se?
R. Venkataraman: See, actually, what -- my view is that there will be a short -term impact for sure because of increased working capital requirements and margin requirements. And then over a period of time, the market finds its own level and goes back to that trend. So shor t-term impact will be there for sure. For us also, there will be marginal impact because we don't do the prop trading ourselves. So there's no impact. And so for clients -- the clients will have to -- I would say, the cost of overall trade in F&O will increase.
Prayesh Jain : Okay. Got that. And secondly, sir, from 1st of April, again, on the institutional equity side, there has been a reset of yields that has come in because of the SEBI regulations. So what kind of impact do you see on your realizations on the institutional eq uity side?
R. Venkataraman: See, actually, you're talking about the domestic mutual fund yields, right?
Prayesh Jain : Yes, yes, yes.
R. Venkataraman: So my opinion is that we -- okay, our opinion or our learning is that the impact will be marginal because already effective yield was plus/minus the yield as suggested by

the regulator.
Prayesh Jain : Okay, okay. Got it. And secondly, sir, when you kind of give that d istribution assets is about INR52,000 -odd crores, this would be -- this would include all your customer base today. But is it -- would it be appropriate to kind of segregate this into the Ultra HNI wealth management that you would be setting up and -- you are in process of setting up, w hat would be kind of AUM that you would have got from those kind of customers?
R. Venkataraman: See to answer your question about the HNI segment, which is the new channel which we have set up. So roughly, that will be roughly about INR 12,000 crores, if my memory is correct.
Prayesh Jain : Got it. And the product mix would be similar to what you have shared...
R. Venkataraman: Similar.

Prayesh Jain : Similar. Got that. Got that. Thank you. I will come back in the queue , if I have more questions. Thanks.
R. Venkataraman : Thank you.
Moderator: Thank you. Next question is from the line of Neha R from Abakkus Asset Manager . Please go ahead.
Neha R .: Thank you for the opportunity. Sir, my question is on the MTF income. So out of the FY '2 6 income of INR439 crores, can you give a split of how much of that is the interest on the MTF book and how much is the interest on deposits at banks?
R. Venkataraman : See, roughly it will be 50 -50. 50% is MTF and 50% is something, whatever exchange, deposits.
Neha R .: Okay. Okay. And sir, last year, our net interest margin almost came to about 18%, 19%. So what sort of changes do we expect to make on a sustainable basis? I mean, how do we see that going on the net interest margin?
R. Venkataraman : Can you repeat the question, please? Your voice is not clear. You're talking about net interest margin?
Neha R .: Yes, sir. The interest margin , I think last year, in '25, the total net interest margin for '25 was about 18%, 19%. So is it lower this year? And how do we see that going on a sustainable basis, what sort of margins are we expecting to do on a sustainable basis?
R. Venkataraman : Net interest margin, 18% -- no, 18%, 19%, I think the net interest spread is roughly about 4%.
Neha R .: Sir, it's INR173 crores of interest on the MTF done last year ?
R. Venkataraman : Last year was 200 plus, I though t. See you're trying to deduct interest costs from interest income .
Neha R.: No, no, sir. I was talking about the interest earned on the MTF on the margin book, which is about INR173 crores. Sir, this is part of the INR419 crores of total interest which we did last year.
R. Venkataraman : Last year, we had approximately INR420 crores of income and the MTF book interest was slightly higher. It will be about INR160 crores, INR170 crores -- INR160 crores types. And the interest expense we paid out was about IN R180 crores. But this interest is very difficult to attribute how much of that is attributable to MTF and how much to other things. That's the reason I'm not able to give a precise answer like how much of this is interest and how much of that is nonin terest.
Neha R .: Okay. And sir, just lastly, on your distribution income. So , sir, our assets have grown but the income has grown relatively higher to INR182 crores for the quarter. So , is it largely insurance - related revenue or any other products that have also contributed? Because sir, the AUM mix largely remained same for us. So , what exactly has led to this jump on...

R. Venkataraman : So basically, there are some components of insurance, some components because of placement of NCDs and fixed income. So that's the reason why we had a disproportionate increase in last quarter.
Neha R.: Got it. Thank you . That is it from my side.
R. Venkataraman : Thank you so much. Actually, maybe we should meet face -to-face, then I'll be able to answer your other

question on interest correctly because I'm not able to hear you. Maybe it's better if you meet and clarify.
Neha R.: I'll connect with you. That's helpful. I definitely connect with you for that.
R. Venkataraman : Thank you so much.
Neha R.: Thank you.
Moderator: Thank you. Next question is from the line of Apeksha Bajaj from AV Fincorp Private Limited. Please go ahead.
Apeksha Bajaj: Hi. Thank you for the opportunity . Any color on further acquisition by Fairfax. There was a news around that, it is going to increase stake by 10%?
R. Venkataraman : I can't offer any comments on this.
Apeksha Bajaj: Thank you.
R. Venkataraman : So as and when there is something definitive, we'll surely make appropriate disclosures as per listings guidelines to the exchanges.
Apeksha Bajaj: Okay. Thank you .
Moderator: Thank you . The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: Good afternoon, Sir, thanks for taking my question a slightly hypothetical question. Looking at our net worth of close to INR3,000 crores, how do you see it in terms of supporting our growth ambitions over the next 3 years on the broking side and potentially on the wealth management side as well?
R. Venkataraman : Actually, we think that we are well capitalized and we have enough dry powder to grow. So, I don't know how to answer your question because we are profitable. Last 3 years, if you see last 4 years, I think our net worth has gone from about INR1,000 crores to INR3,000 -plus crores. And basically, all of it from accruals. So, I think we are running a profitable franchise, and we have enough we are -- all the cash is being used to reinvest in the business. So, we think that we have enough ammun ition to grow.

Abhijeet Sakhare: Understood, sir. Sir, initially, you had given a comment around the -- in terms of the breakup between IB and IR revenues. That was, I think, close to about INR700 crores. That was for the full year FY '26, right? I'm just reconfirming that number.
R. Venkataraman : Yes, Correct. The full year revenue was about INR712 crores.
Abhijeet Sakhare: Understood. Okay. That makes sense. Got it, sir. That will be all. Thank you so much.
R. Venkataraman : Thank you so much.
Moderator: Thank you. Next question is from the line of as Prayesh Jain, Motilal Oswal. Please go ahead.
Prayesh Jain: Sir, just an extension of the previous question, the current net worth of INR3,000 -odd crores, how is that utilized across your broking, wealth management, and alternates that you're setting up, that would also need seed funds. So how has been the utilization of this net worth currently across the business lines?
R. Venkataraman : Actually, the bulk of the business has been put in broking, MTF and exchange margins. So that has been a big allocation of capital.
Prayesh Jain: So, with this current net worth and say, the borrowing limits that we can still have, do you think that we have enough capital or headroom to grow another 20% in the next couple of years or we would need more capital?
R. Venkataraman : So, I think we have enough to grow in the next -- by 20% in the next.
Prayesh Jain: Got that. Got it. And sir, with respect to the -- any plans on new other categories like a full -fledged AMC or any plans there? Any thoughts with respect to new product categories that we want to get on to?
R. Venkataraman : See, I think as of now, we think that we have all the elements that can help us to succeed in our businesses, which is investment banking, insurance equities and, I would say, wealth management. As you know, in the earlier -- in the slide also, we have sai d that we have started manufacturing, in -house manufacturing, both on the PMS platform and the AIF platform, including early stage, late stage as well as a credit fund. We will evaluate

opportunities to
enhance shareholder value and improv e our competitive positioning. As and when something happens, we'll make all the necessary disclosures.

Prayesh Jain: Got that sir, Thank you .

R. Venkataraman : Thank you so much.

Moderator: Thank you.

R. Venkataraman : For joining us on the call, thank you so much. And should you have any further questions, please feel free to reach out to either me or Ronak, and we'll be more than glad to answer all your questions. Thank you so much, and have a nice day.

Moderator: Thank you very much. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

Call: Jul 2026

July 30, 2026

Dear Sir/Madam,

Sub: - Earnings conference call transcript

Please find attached herewith a transcript of the earnings call held on Friday , July 24 , 2026. The same is available on the website of the Company and can be accessed at the following link: https://files.iiflcapital.com/assets/IIFL_Sec_IIFL_Cap_Jul24_2026_aa9bc67cd0.pdf

Kindly take the same on record and oblige.

Thanking you,

Yours faithfully,

For IIFL Capital Services Limited
(Formerly IIFL Securities Limited)

Meghal Shah
Company Secretary

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NSE Symbol: IIFLCAPS

“IIFL Capital Services Limited
Q1 FY27 Earnings Conference Call ”
July 24, 2026

MANAGEMENT : MR. R. VENKATARAMAN – CO-PROMOTER AND MANAGING DIRECTOR – IIFL CAPITAL SERVICES LIMITED
MR. RONAK GANDHI – CHIEF FINANCIAL OFFICER – IIFL CAPITAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the IIFL Capital Services Limited Q1 FY27 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to the management for the opening remarks. Thank you and over to you, sir.

R. Venkataraman : Thank you. Good afternoon and welcome to the first quarter FY27 analyst call of IIFL Capital. This is R. Venkataraman. I am the Co-Promoter and Managing Director . Along with me is Ronak Gandhi, who is our CFO.

We are living in interesting times. The global environment remains uncertain. Geopolitical developments, commodity price volatility continue to influence investor sentiment and capital flows. With crude touching $100 a barrel, it is to be seen how India is affected in the days to come.

Coming to our results, consolidated operational revenue for the quarter was INR631 crore s, virtually flat quarter -on-quarter and year -on-year basis. On a quarter -on-quarter basis, that is this quarter Q1 FY27 versus Q4 FY26, our retail broking revenue was INR297 crore s, virtually flat. Institutional and investment banking revenue was up 27%, INR207 crore s versus INR163 crore s in the fourth quarter of last year.

Financial product distribution income stood at INR125 crore s versus INR182 crore s in the fourth quarter, which is a down almost 31%, primarily because of two reasons. One is about the fourth quarter peak of insurance income, which is typically a fourth quarter effect, and the other is because of lumpy transactional income which was boo ked in the previous quarter.

Employee cost is almost flat at INR179 crore s versus INR183 crore s. Finance cost decreased 5% to INR60 crore s. Depreciation flat at INR17 crore s. Fees and commission expenses decreased to INR139 crore s by 8%, primarily because of decrease in variable payout again linked to the seasonal insurance business.

Administrative income was again flat. Operational PBT INR149 crore s was up 4% on a quarter -on-quarter basis. Other income was high steeply by INR90 crore s, and that is primarily because of the mark -to-market gains on BSE shares. This is the BSE shares is something which we have discussed in the previous quarter also.

Coming to year -on-year basis, retail revenue was INR297 crore s versus INR264 crore s, which is up 13%. Institutional broking investment banking income was flat, INR207 crore s versus INR204 crore s for the last year first quarter.

Distribution income again was down 14%, as I mentioned earlier, because of certain transaction income which was booked which was big in the previous year. Employee cost flat INR179

crore s. The finance cost decreased 48% to INR60 crore s because -- sorry, finance cost increased to INR60 crores from INR40 crore s because of increase in MTF book.

Depreciation flat. Fees and commission income increased 4%. Admin income was again flat. Operational PBT INR149 crore s was down approximately 9%. Other income again INR90 crore s, mainly because of the MTM gain in BSE shares.

Some housekeeping numbers. Average daily turnover was INR3,15,780 crore s, of which F&O was INR3,12,480 crore s and cash was INR3,300 crore s. In Q4, which was INR3,22,886 crore s, of which F&O was INR3,20,011 crore s and cash was INR2,875 crore s, which was down almost 2%.

Other updates. I wanted to give an update on the Fairfax investment. During the quarter, Fairfax India Holdings Corporation through FIH Mauritius and its affiliate proposed to in

crease their
shareholding in the company to at least 51% through a combination of preferential issuance of – preferential investment of equity about INR2,000 crore s at 350 per share and the mandatory open offer, which is subject to all customary regulatory and other approvals. The shareholders approved the preferential issue of equity shares at the EGM held on June 1, 2026.

We are at various stages of approvals from various regulators, including SEBI, NSE, BSE, and IRDAI . Upon completion of the proposed transaction, Fairfax will become the promoter along with existing promoters Nirmal and myself. They will also have a right to nominate two Directors to the Board .

We believe that this investment -- will strengthen our company's capital base, support growth across capital markets, wealth management, asset management, institutional equity, and further

enhance our credibility and brand through Fairfax's global reach, brand, and financial strength.
Coming to the income tax note. Income tax department, as you are aware, conducted a search under Section 132, which was in done in January 2025. The holding company and the subsidiaries have received a demand of INR124 crore s. The respective companies have filed appeal already against the said orders with relevant authority under the applicable laws.
With this, I have come to the end of my statement and I'll be more than happy to answer any questions that you may have. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Keshav Karwa from White Pine IVM Capital Limited. Please go ahead.
Keshav Karwa: Hi, sir. Thank you for the opportunity. Sir, I had few questions. First was how much of the AUM growth was organic? And if you see our AUM has always grown faster than the peers for many quarters, but this quarter it was relatively slower, and why is that? This is my first question.
R. Venkataraman: See, if you look at our AUM growth, net collections was roughly about INR4,000 crore s. I think INR3,675 crore s to be very precise. And I am assuming you're talking about the FPD growth, right? So that we have collected about INR3,600 crore s. And so we have been going faster, so maybe this is a one -off and from next quarter we'll start we'll catch up.

Keshav Karwa: Okay. And my second question was on the Fairfax transaction. Have you received the funds yet or are they yet to be received? And how do you intend to deploy the funds? And if the transaction does not get completed, what would be the next step?
R. Venkataraman: So we have not received the funds. As I mentioned in my opening remarks, this is subject to all regulatory approvals. And at this point in time, we the company has applied to various authorities for approval and the approvals are in process. So we think th at maybe in the next 2 to 3 months we'll get all the approvals and once the approvals come, only then the preferential allotment will take can take place. So to answer your question, at this point in time, the inflow of INR2,000 crore s has not happened.
Keshav Karwa: Okay, sir. And sir, in this quarter, how many RMs did we add?
R. Venkataraman: I think very we added few RMs. I think less , single -digit number of RMs.
Keshav Karwa: Sir, sorry, can you just repeat?
R. Venkataraman: I think the -- I don't know exact head count which has added in RMs, but it's it'll be very few in single digit.
Keshav Karwa: Okay. And sir, can you please provide me with the breakup for institutional broking and investment banking revenue?
R. Venkataraman: I think institutional equities in this quarter was roughly about INR200 crore s. I'm giving you rough number . Don't it'll be in the ballpark INR200 crore s.
Keshav Karwa: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Lalit Mohan

Deo from Equirus Securities .
Please go ahead.
Lalit Mohan Deo: Yes, hi, sir. Sir, just one question. Sir, like in the presentation, we have a slide which mentions about the AIF and PMS AUM of around roughly around INR4,400 crore s. So do we have any income against the same in this and where is it in the where does it show highlight -- get highlighted in the P&L, please?
R. Venkataraman: So this we have of course income for this and I think this is this goes under financial product distribution.
Lalit Mohan Deo: Sure, sir. And like what are our p lans to grow this this business…
R. Venkataraman: I think that's a good question that you have raised. Historically, we have in the last one year, if you remember my earlier calls also, I was saying that we are going to strengthen and start up our manufacturing. So this is a part of our overall manufactur ing plan. So we have started AIF, we have started PMS, we have one credit fund, we have one late -stage fund. So we'll continue to without losing our overall character of open architecture, we want to invest and grow this business.

Lalit Mohan Deo: Sure. Yes. Thank you, sir. That's it.
Moderator: Thank you. The next question is from the line of Neha from Abakkus Investment Managers . Please go ahead.
Neha: Yes, hi, sir. Thank you for taking my question. It's on the implementation of the SEBI regulations from 1st July. So are we seeing any impact from that on the broking business in any way?
R. Venkataraman: You're talking about the margin the RBI guidelines on the margin requirement, right?
Neha: Right, right, sir.

R. Venkataraman: Yes. So as of now, we have seen marginal impact because we didn't have large number of - we are not prop traders ourselves and we didn't have a large number of that kind of customers. So we are not seeing big impact, but my guess is it is still too early to comment. So over a period of time, maybe we will see some impact.
Neha: Okay. So sir, we do expect to see some impact on the volumes or the turnover in in this quarter?
R. Venkataraman: No, unlikely in this quarter.
Neha: Okay. And sir, the implied yield on the distribution is declined to about 87 basis points and it was higher in the previous quarters. So what would be the reason for that?
R. Venkataraman: The FPD income was has fallen because of last quarter we had insurance income booked in that and in the again in the first quarter also we had seen some amount of brokerage income was there. So because of that only the income has fallen and hence the -- that has a resultant impact on the yield. Overall, I think product -wise yield has not changed, but because of this non -ARR income, it has affected.
Neha: So but the mix is largely remained the same, right, with mutual funds contributing…
R. Venkataraman: No, no --in the last quarter, the mix had a bit more non -ARR and also more insurance.
Neha: Okay. Got it, sir. Thank you, sir.
R. Venkataraman: Actually, if there are no further questions now, we can stop and you know, they all questions all people can ask questions to me and Ronak directly because we have email ID as well as we can reach out to us directly.
Moderator: Sure, sir. We have a question. Do you want me to take that up?
R. Venkataraman: Yes, yes, of course.
Moderator: Sure. The next question is from the line of Palash from 360 ONE Capital. Please go ahead.
Palash: Hello, sir. Thank you for thank you for taking my question. I just wanted to ask if you can provide some color on the breakup of the income between the institutional equity broking side and the IB side? That will be really helpful, sir ? Thank you.

R. Venkataraman: See, roughly we have roughly we have about INR200 crore s of income on the investment banking and institutional broking, and it will b

e roughly 50 -50 or 60 -40. That will be the broad numbers.
Palash: Okay, sir. Thank you, sir. That's all.
R. Venkataraman: Thank you, Palash.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
R. Venkataraman: Thank you so much for participating and feel to reach out to either me or Ronak if you have any more follow -on questions. Thank you so much and have a nice day.
Moderator: Thank you. On behalf of IIFL Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.